

Market	Zara	Pull&Bear	Massimo Dutti	Bershka	Stradivarius	Oysho	Zara Home	INDITEX
SOUTH AFRICA	7	-	-	-	-	-	-	7
SWEDEN	8	1	3	-	-	-	1	13
SWITZERLAND	18	4	4	6	1	1	2	36
THAILAND	11	2	4	1	-	1	2	21
TUNISIA	8	4	3	5	5	4	3	32
TÜRKIYE	40	31	25	31	30	29	15	201
UKRAINE	11	16	9	16	15	10	3	80
URUGUAY	2	-	-	-	-	-	2	4
VIETNAM	3	2	2	-	1	-	-	8
INDITEX	1,811	791	544	856	841	439	410	5,692



Index

1. Message from the Chairperson	104
2. CEO's statement	106
3. Inditex at a glance	110
3.1. Global footprint and key data in 2023	112
3.2. 2023 Milestones	114
3.3. Recognitions	115
3.4. Retail concepts	117
4. About this report	122
How we report	124
5. About Inditex	128
5.1. Corporate governance	130
5.2. Strategy	166
5.3. Stakeholders	176
6. Environment	188
6.1. Climate change	190
6.2. Water management	225
6.3. Biodiversity and ecosystems	230
6.4. The transition to a circular economy: resources, products and waste	234

7. Social	248
7.1. Our people	250
7.2. Workers in the supply chain	283
7.3. Communities	298
7.4. Our customers	315
8. Governance	320
8.1. Corporate ethical culture and solid Compliance architecture	322
8.2. Information security and privacy	335
8.3. Supplier relations	341
8.4. Tax responsibility and transparency	351
9. Annexes	356
9.1. Additional indicators	358
9.2. Content indexes	385
10. Independent Verification Report of the Consolidated Non-financial Information Statement	418



Message from the Chairperson

GRI 2-22; 3-3

Throughout 2023, Inditex once again demonstrated that a shared culture, based on hard work and an unwavering ambition to improve, is the most valuable asset a company can have. Our teams, their talent and their efforts day after day delivered solid growth across all our brands, earning the confidence of the millions of customers around the world and connecting us with more and more people every day.

Our purpose is to offer them products conceived of and made with the utmost attention to detail, beautiful designs and excellent materials. Products into which we pour a great sense of responsibility, also taking into account their social and environmental impact.

We do this by offering the best customer experience, which means making sure that when people visit us in person or online, we give them quality on a par with the confidence they place in us. We want our products, accessible to the large majority, to be appreciated for the personal touch and affection put into them by each of our designers, pattern makers, sales teams, buyers, suppliers and indeed our employees across all the areas that make our business possible. We believe firmly that our customers value this commitment, and we work tirelessly to honour this very special relationship.

We are as excited and unwilling to settle as ever. Those attributes are what have driven this company from a small workshop in Galicia to the global fashion retailer we are today. We want to do everything within our power to make a positive difference in the future. The magic that is Inditex pushes us to continue to do better so as to achieve more milestones and set ourselves new challenges which we are confident we will be able to overcome.

A handwritten signature in black ink, reading "Marta Ortega Pérez". The signature is fluid and cursive, with the first name "Marta" being more prominent and the last name "Ortega Pérez" following in a similar style.



CEO's statement

GRI 2-22; 3-3

Fashion is a personal selection we make every day to express our identities. It also reflects the social changes and trends unfolding in the world around us. At Inditex we are proud to make quality and affordable fashions for millions of people worldwide, helping them express their individuality, what moves them, what unites them. This Annual Report provides an account of Inditex's performance in 2023, our identity, our attention to detail to offer quality products that meet our customers' demands, while evidencing our own evolution and the progress we have made on transforming our sector.

The following chapters contain all the key figures for the year, which was characterised by sharp sales growth. Behind those figures, however, are the people who make Inditex what it is: without their dedication we would not be the company that we are. Our results primarily demonstrate primarily the good work done by our more than 161,000 professionals.

2023 was marked by significant complexity and instability. That is nothing new. Uncertainty has become the almost permanent status quo in which we have to carry out our businesses. Our strong corporate culture, the hallmarks of which include careful decision making, committed professionals, being nimble and thinking outside the box, sets us apart and give us an edge in these times. It allows us to continue to bring the beauty that is fashion to millions of people.

Solid earnings performance

In recent years we have continued to cement our position as a benchmark in fashion retailing, honouring all of the commitments assumed by our stakeholders, as set out in this report, which has translated into an impressive earnings performance.

Consolidated revenue registered year-on-year growth of over 10%, driven not only by the creativity, sensitivity and merit of our design and product teams, but also the mutual support provided by our physical stores and online platforms to provide our customers with memorable experiences. In 2023, the Group's websites received over 6.5 billion visits. That means that our brands' online stores welcome over 18 million visits on average per day.

Astute management of that healthy topline growth materialised in a noteworthy gross margin and rigorous control of operating expenses. As a result, net profit came in 30% above that of 2022 and our net cash position topped the €11 billion mark.

These are very good results. But we know that the future is not a given. Our spirit is restless and requires us to constantly think outside the box. As a result, throughout 2023 we continued to innovate: we continued to make our physical stores increasingly attractive and search for new ways to reach our customers; and we continued to fine-tune our online shopping experience. And while we worked on our most visible interfaces, we also reinforced our inner workings, shoring up our logistics and distribution networks. We plan to continue to invest in these areas as they are vital to supporting our company's ongoing growth.

Our sustainability ambitions

This report demonstrates just how much effort was put into sustainability advances in 2023. The strength of that commitment is borne out by our decision to set ourselves ambitious targets for driving an increasingly sustainable and more circular value chain throughout our company and beyond. Those targets are the new framework for engaging with the various players in our value chain.

In 2030, 100% of the fibres used by Inditex will have a smaller impact on the environment: they will be fibres that expert organisations such as the Textile Exchange term 'preferred' fibres. More specifically, around 40% of the fibres used by our brands will be the result of conventional recycling processes; around 25% will be next-generation fibres (that do not currently exist, or at least not at an industrial scale); and 25% will hail from organic or regenerative farming practices.

Last year we also culminated the roll-out in 16 markets of Zara Pre-owned, our platform for the repair, customer-to-customer resale and donation of used clothing with which we are lengthening the useful life of our products and helping our customers give their clothing a new life, actively contributing to industry circularity. We are already working to bring that platform to other major markets for the brand.

In 2023 we informed the Science Based Targets initiative of our intention to reduce our emissions by over 50% by 2030, going on to achieve net zero emissions by 2040.

Our people

Caring for our people and their wellbeing was a priority for us once again, as was our unwavering desire to allow them to realise their full potential. In 2023 we covered 72% of our vacancies through internal promotion, provided over two and half million hours of training to our teams and involved more than 2,200 employees in internally communicating our sustainability strategy.

At Inditex we are very aware that the diversity of our teams is a tremendous source of innovation and creativity. We have people of 174 different nationalities within our team, diverse people from a myriad of backgrounds (creative, commercial, technical) all working together. In parallel, we bolstered our workforce integration programme, hiring more than 1,800 people from vulnerable groups in 18 markets. I believe, however, that in this area principles count more than numbers in that we are committed to fostering equal opportunities and take a zero-tolerance stance towards any form of discrimination.

Our community commitment

Our Group's responsibility goes beyond our stores and value chain in an effort to generate positive impacts on our broader business communities. Our community investment programmes remain fundamental tools for contributing to development in the societies and geographies in which we do business. In 2023 we supported 910 social and environmental initiatives through partnerships with 476 community organisations, prioritising strategic, long-term projects. In addition, our people have dedicated more than 338,000 hours to community projects.

With these initiatives, we directly benefitted more than 4.3 million people. At the same time, we worked to protect, restore and regenerate 5 million hectares globally for biodiversity enhancement purposes.

We continued to reinforce our commitment to the United Nations Guiding Principles on Business and Human Rights and to the Global Compact and its Sustainable Development Goals. Over the coming pages we attempt to provide an account of the progress made in all of these areas, ensuring the integrity of the data reported and upholding, in our concluding sections, the principles of the Integrated Reporting framework.

It would be remiss of me to sign off without referring to one of our greatest strengths. In a world in which everything seems to be changing quickly, Inditex boasts solid roots and a shareholder and financial structure that allows us to set our sights – truly – on the long term. Our stability is what allows us to be extraordinarily flexible and nimble when required of us by the market environment or our customers. With more investment, more innovation and doubling down on what we truly believe in, here at Inditex we are ready to continue to thrive among change.



Óscar García Maceiras
CEO



3

Inditex at a glance

- 3.1. Global footprint and key data in 2023
- 3.2. 2023 milestones
- 3.3. Recognitions
- 3.4. Retail concepts



3.1. Global footprint and key data in 2023

Key indicators		
213 markets	35,947 M€ net sales	5,381 M€ profit
11,406 M€ net financial position	3,736 M€ dividends	8,680 M€ total tax contribution



A unique team	
161,281 people in our teams	174 nationalities
74% women	30.6 average age
+2,200 Changemakers (in-house sustainability ambassadors)	72% of vacancies covered by internal promotion

Headquarters effect	
6,636 Product and general services suppliers in Spain	6,899 M€ invoicing to suppliers in Spain

Supply Chain 8,123 factories 1,461,255 beneficiaries by Workers at the Centre 1,733 suppliers			Community investment +112 M€ investment +4 M beneficiaries 8.9 M donated items from our collections		
Circularity 16 markets with Zara Pre-Owned			Website visits 18 M daily visitors to the Group's online stores		



3.2. 2023 milestones

FEBRUARY

Massimo Dutti Studio Man

The brand reasserts its fashion concept through the launch of the Studio Collection for men. This new line, the women's version of which was unveiled a year earlier, elevates and reinvents the most iconic garments with an architecture-inspired approach.

MARCH

Oysho disembarks in the UK

The company opens its first physical store in the UK, located in the Westfield London shopping centre in Shepherd's Bush.

APRIL

The Circ x Zara Collection

Zara launches the first collection made by recycling blended textiles using Circ's innovative technology. Inditex acquired a stake in this startup last year as part of its commitment to fostering circularity.

MAY

TRUE certification

Pull&Bear obtains TRUE Platinum certification for its zero waste management at its headquarters and logistics platforms, making it the world's first retailer to obtain the category. Other headquarters and logistics centres of our brands obtained the TRUE distinction during the year.

JUNE

Inditex and Jeanologia develop Air Fiber Washer

This innovative industrial air extraction system reduces microfibre shedding by up to 60% in the first few washes, without using water or thermal energy, and without compromising fabric quality.

JULY

We increase our ambition in sustainability

The Inditex Group presents its new sustainability targets through 2040, based on innovation and collaboration. The Company undertakes to endeavour to respond to market demands with products whose manufacturing has a lower impact, advancing towards circularity and net-zero emissions.

AUGUST

The second Zara Home + By Vicent Van Duysen Collection

For this new collection, Van Duysen revisits some of his most emblematic creations and shapes. These pieces perfectly complement the furniture that featured in the first launch: versatile and timeless designs in carefully selected woods, textures and materials, with exquisite finishes.

SEPTEMBER

Bershka unveils store image in Milan

Bershka reopens one of its bellwether stores in the centre of Milan, the city of fashion. Bershka Corso Vittorio Emanuele II, one of the brand's most prestigious flagship stores, is the first to embody the new store concept designed by the renowned OMA studio.

OCTOBER

Agreements with Ambercycle and Circular Systems

Inditex enhances strategic partnerships with the most innovative startups in lower environmental impact fibres by acquiring cycora® from Ambercycle and the launch by Zara Home of a capsule collection made with the Agraloop™ BioFibre™ generated from hemp by Circular Systems.

NOVEMBER

The first Stradivarius store in Germany

The brand opens its first physical store in Germany, where it previously had an online presence. Located in Stuttgart, this store heralds the start of the brand's expansion in the German market.

DECEMBER

Zara Pre-Owned

The platform that allows the brand's customers to actively contribute to the circularity of their used clothing is now available in 16 markets. The platform offers repair services, sales between individuals and garment donation services.

JANUARY

Consolidation of our employment insertion programme

Salta, the initiative whereby Inditex provides access to the labour market for vulnerable groups, has exceeded 1,800 hirings in 18 markets. Canada, Kazakhstan and Croatia are the latest to have joined the programme.

3.3. Recognitions

Our relationship with trade unions, NGOs, governments and other civil organisations is fluid, continuous and key to implementing our sustainable business model. Their recognition over the course of 2023 for our work on various environmental and social aspects is an incentive to continue to make progress.



Inditex is recognised –for the fourth consecutive year– as one of the world's most committed companies to gender equality. More than 484 companies from 54 different sectors and more than 45 countries around the world are part of the Bloomberg's Gender Equality Index (GEI) 2023.



In 2023, CDP distinguished Inditex with an A rating for efforts to fight climate change, as well as the quality of the information it publishes and its performance on this front.



Inditex, included in the DJSI World and DJSI Europe, was awarded in the Global Corporate Sustainability Assessment 2023 from S&P Global with a total of 68 points out of 100, as published in the 2024 Yearbook on 7 February 2024. This performance earned Inditex a score in the 99th percentile in the retail sector.

FINANCIAL TIMES

For the fifth time, in 2023 the Financial Times' Diversity Leaders ranking included Inditex in its list of Europe's most inclusive companies. This time around, the Group significantly improved its place in the ranking, from 299th to 44th.

The British financial daily newspaper has again included Inditex in its Europe's Climate Leaders 2023 edition, which highlights companies that have concentrated their efforts on reducing greenhouse gas emissions.

Forbes

The Forbes Global 2000 list once again includes Inditex among the global companies selected. This annual ranking evaluates listed companies on the bases of sales, profits, assets and market value. In this edition the Group has achieved the 274th position.

Furthermore, Inditex is also spotlighted in Forbes' World's Top Companies for Women and World's Best Employers lists.



Inditex receives a score of 4.6 out of 5 in the FTSE4Good sustainability index 2023. This stock index ranks companies that demonstrate robust environmental, social and governance (ESG) practices.



In 2023, Inditex leads the ranking of companies with the best reputation in Spain –Merco Empresas–.

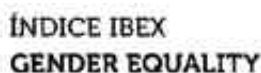
Furthermore, for the twelfth consecutive year, Inditex topped the Merco Talento ranking, which recognises firms that best attract and retain talent.



Most Attractive Employers

For yet another year, Universum has included Inditex among the best companies in which to develop professionally in Spain. In this latest edition, university students chose Inditex in various categories, such as Technology, Business and Law.

Globally, Zara has been included for the third time in Universum World's Most Attractive Employers ranking, and has scaled from 52nd to 40th.



Inditex has featured in this index, which recognises the listed Spanish companies with the most women serving on their Boards of Directors and in senior management positions, since its creation in 2021.

FORTUNE

Our Group is included in the first ever edition of the Fortune 500 Europe list, which ranks the largest European companies by revenue. This list includes companies from 24 different countries across the region.

Inditex has debuted in the Fortune World's Most Admired Companies™, placing 167th in the general index.



Our flagship brand, Zara, once again features among Interbrand's prestigious Best Global Brands. In this edition, brand value is recognised as having increased by 10%, boosting Zara to 43rd place.



Inditex appears in Newsweek's list of the World's Most Trustworthy Companies. Specifically, the Company is ranked seventh in its sector.

3.4. Retail concepts

GRI 2-6

Zara



One of the highlights of the year was unquestionably the Zara Steven Meisel New York Collection, in which the iconic photographer helped design a unique collection that embodies his personal style. The capsule, which included garments and accessories with a seductive touch for women and men, was accompanied by 26 portraits of people who are now ineluctably and forever linked to his background and career as a photographer. Naturally, these personalities include his alter ego, Linda Evangelista, along other models, friends and associates.

Notable collections include Barbie x Zara. Its eye-catching garments, inspired by the Barbie film, became part of the global phenomenon that turned all the trends pink. Representation of women who make their own way was further strengthened by Thirteen Pieces, a collection with a compelling personality comprising 13 timeless garments that convey simplicity and elegance. The strength of this collection is patent in the images featuring the actress Ángela Molina.

Another very characteristic style, this time by British stylist Harry Lambert, was showcased in Zara Man's Cutie Chaos collection, a line full of vintage references, and with the use of lower impact fibres as the cornerstone and main objective of the collection. Cutie Chaos was made of fabrics containing recycled raw materials such as recycled wool, polyester, polyamide and cotton.

Glitter in Gold, Make-Up for your Hair was Zara Beauty's début in hair products, a launch compiled, curated and designed in collaboration with creative director and stylist Guido Palau. To present this collection, Palau featured in a series of videos accompanied by Kaia Gerber.

In collaboration with the textile recycling company Circ, Zara moved a step further towards circularity in the fashion industry by launching the very first collection made with fabrics recycled from blended polyester and cotton textile waste. The separation of fibres is precisely one of the biggest challenges in textile recycling, so this technological breakthrough is a milestone for change in the sector. This year, Zara commenced the expansion of its Pre-Owned platform, aimed at helping customers to lengthen the useful lives of their garments through repairs, sales among individual customers of their Zara garments from any season, and donations. After its debut in the United Kingdom in 2022, Zara Pre-Owned has been activated in new European markets, currently reaching a total of 16.

During 2023, Zara launched its retail operations in Cambodia and continued its store openings in such emblematic locations as Paris (Champs-Élysées), São Paulo (Higienópolis), Dubai (Mall of Emirates), Miami (Dadeland) and Seville (Plaza del Duque), among others. In its ongoing quest for innovative initiatives to offer the best customer experience, in 2023 Zara launched a livestream programme on the Chinese platform Douyin, with a five-hour broadcast including catwalks, fitting room and make-up area tours, and behind-the-scenes views of the teams.

26,050
million euros in net sales

142.9
million followers in social media

4,613
million visits to the website

Pull&Bear



Music, rebranding, sports and augmented reality have been the focuses of Pull&Bear's commercial activity in 2023. One of the year's main novelties was the rebranding of the Pull&Bear logo, and the refurbishment of its stores, which present an unprecedented image in the latest openings in prime locations such as Gran Vía (Madrid) or Via Torino (Milan).

The brand has further cemented its collaboration with one of the foremost music festivals on the international scene, Primavera Sound. Pull&Bear has designed an exclusive collection and concept called The Vision, making its presence one of the most important in both its editions, in Barcelona and Madrid.

Continuing to pursue its commitment to music, digital innovation is provided by Sen Senra, the Spanish artist who starred in the augmented reality Live Show during the store opening in the Spanish capital. The headline collections featured two international celebrities: the singer Tini and the actress Valentina Zenere.

Notable collaborations include the sports partnership with brands such as Russell Athletic and Airwalk, a new snow collection with Spyder, and a firm commitment to denim alongside Wrangler.

Lastly, sustainability is another of the major milestones in the year, with the award of TRUE Platinum certification for its zero waste management at its headquarters and logistics platforms, becoming the first Inditex centre to achieve it and the first retailer worldwide to be awarded the Platinum category.

2,359
million euros in net sales

17.1
million followers in social media

484
million visits to the website

Massimo Dutti



The brand presented its first men's Studio line with a collection made for a contemporary urban lifestyle. The most iconic garments of the men's wardrobe were reinvented in the new Massimo Dutti Studio Collection. Selected materials and fabrics and an architecture-inspired approach yield modern silhouettes. The campaign is presented in three distinct chapters —each with its own identity— with the aim of promoting the collection and maximising its impact, in physical and online channels alike.

In addition, Massimo Dutti undertook a new creative challenge starring three cultural and fashion icons: Charlotte Rampling, Lila Moss and Alaato Jazyper. A tribute to heritage and tradition through pieces that are the experiential embodiment of Massimo Dutti's soul. Pieces that stand the test of time.

The brand remains committed to art and creativity. Through its ArtInProgress project, it carries out the Art Tour initiative, in which this year five artists presented their works at the reopenings of Massimo Dutti's flagship stores in Brussels, Vienna, Zurich, Paris and London.

1,839
million euros in net sales

17.0
million followers in social media

259
million visits to the website

Bershka



The firm marked its 25th anniversary with milestones such as the revamping of its logo and website, the launch of the Generation Bershka collection and the perfume created expressly for the occasion, and the reopening of Bershka Corso Vittorio Emanuele II, in Milan, one of its most prestigious flagship stores, in collaboration with renowned architectural studio OMA.

Bershka's close ties with the music scene are at the fore in a global collaboration with DICE, the ticketing platform for generation Z, or in special collections such as the capsule created with Bizarrap. The digital trend continues to expand, with the Phygital (physical + digital) Wearable Art collections in collaboration with fface.me, digital fitting rooms powered by Snapchat technology, which includes digital garments and accessories. The Bershka website also features a virtual footwear fitting room.

The brand continues to support emerging talent and works with Spanish designer Pepa Salazar and Barcelona-based clothing brand Ssstuff.

2,621
million euros in net sales

32.8
million followers in social media

462
million visits to the website

Stradivarius



More than 5,000 visitors to Casa Stradivarius, a temporary installation located in Madrid's Palacio de Santa Bárbara, were able to touch and experience the brand in an ephemeral way through activities that included the co-creation of a new perfume by the firm, along with concerts, sports and talks about content creation.

Interaction with the brand also takes centre stage in stores such as the new flagship store on Barcelona's Paseo de Gracia. Located in a 1919 building, former headquarters of the Central Bank, combines the new WAVE store image with original architectural elements of great interest, such as the former vault now used to collect online purchases. Another highlight is the Fragrance Lab, an interactive space where customers can discover the brand's fragrances.

In its Icons Collection, Stradivarius pays tribute to the garments and professionals who have shaped fashion, such as Esther Cañadas, Joan Smalls and Luna Bijl, stars of the campaign.

Its first store openings in Germany (Stuttgart and Dresden) signal the start of the brand's expansion in this market.

2,334
million euros in net sales

15.3
million followers in social media

438
million visits to the website

Oysho



Oysho further cements its commitment to sport in its latest openings. The brand has opened stores in White City London, Brussels, Galataport Istanbul and Gran Vía Madrid, presenting a renewed image that highlights the products' technical features and innovation.

With regard to the collections, we highlight the Racket Sports Collection for sports such as tennis, padel and badminton; the Mountain Collection for hiking and trekking; the Ski Collection, which has been expanded and now includes new materials and innovative technologies, including the collaboration of well-known makers of technical insulation like Minardi Piume Company, 3M Thinsulate™ and Primaloft®.

As part of its commitment to sustainability, Oysho has launched a collection of compression leggings made from recycled polyamide, using materials from old tyres in its production.

Oysho's determination to boost women's sport is even stronger and the brand has become a title partner and technical sponsor of the Queens League Oysho, the new women's 7-a-side football league.

744

million euros in net sales

11.0

million followers in social media

100

million visits to the website

Zara Home²



The collaboration between the brand and the Belgian architect and designer Vincent Van Duysen, which commenced last year, has been continued in a new collection with pieces for the table and dining room. A pop-up store located in A Coruña offered visitors the chance to discover the 01 and 02 collections in an exhibition of their most iconic pieces.

In Cabana x Zara Home, the brand was inspired by the far-off lands and decorative treasures that adorn the pages of the popular collectible Cabana Magazine, with its unmatched evocation of the pleasure of travel, the spirit of adventure and culture.

Zara Home's online store in Brazil was launched along with the reopening of its refurbished flagship store in the Shopping Iguatemi mall in São Paulo. Also notable was the reopening of one of the brand's leading flagship stores: Zara Home Hermosilla, in Madrid.

15.3

million followers in social media

164

million visits to the website

² Sales at Zara Home are reported consolidated with those of Zara.



4

About this
report



How we report

GRI 2-2; 2-3; 2-5; 2-14

Through the **2023 Statement on Non-Financial Information**, we present the information related to the performance of the Inditex Group (hereinafter also, the 'Group', the 'Inditex Group' or the 'Company') in financial year 2023 (from 1 February 2023 to 31 January 2024). In it, we provide truthful, relevant and accurate information on our accountability for the year 2023, as well as our objectives, progress and initiatives in the year. Accordingly, we present our Annual Report 2023, including the Inditex Group's Consolidated Annual Accounts, followed by the Integrated Management Report, also comprising the Statement on Non-Financial Information (SNFI).

The scope of the information reported herein includes all the companies over which Inditex has control or joint control listed in *Annex I* of the Consolidated Annual Accounts (any variations in comparison with those of 2022 are specified in *Note 3* of the Consolidated Annual Accounts). Relevant information is also provided on the Company's supply chain, made up of suppliers and manufacturers of the Inditex Group.

The Statement on Non-Financial Information was prepared by the Board of Directors of Inditex, following the favourable report by the Audit and Compliance Committee and the Sustainability Committee, both of which are responsible for the verification and supervision of the information included in it, each in their respective areas of competence. The SNFI has also been endorsed by Inditex's Social Advisory Board (the Group's external advisory body on sustainability matters, consisting of independent external members). It will subsequently be submitted to the Group's Annual General Meeting to be examined and, in the event, approval as a separate item on the agenda.

Act 11/2018 of 28 December, which entered into force in 2018, amends the Code of Commerce, the revised text of the Spanish Companies Act approved by Royal Legislative Decree 1/2010, of 2 July and Law 22/2015, of 20 July on Statutory Audit, as regards non-financial information and diversity (hereinafter, Act 11/2018), which supersedes Royal Decree Law 18/2017, of 24 November which transposed Directive 2014/95/EU of the European Parliament and of the Council, regarding disclosure of non-financial information and information on diversity into the Spanish legal system.

Through the Statement on Non-Financial Information, we fulfil the legislative requirements pursuant to Act 11/2018 on non-financial reporting and diversity, as well as the European Union Taxonomy Regulation (Regulation (EU) 2020/852 of the European Parliament and of the Council on the establishment of a framework to facilitate sustainable investment), and amending Regulation (EU) 2019/2088.

The provisions of said Act 11/2018 require that certain undertakings, including Inditex, are obliged to prepare a Statement on Non-Financial Information, which must be included in the Directors' Report or in a separate report corresponding to the same financial year. The SNFI contents must include, among other matters, the necessary information to understand the performance, results and situation of the Group and the impact of its activities in respect of environmental and social issues, respect for human rights and the fight against corruption and bribery, as well as matters regarding the workforce. It must also include, if applicable, such measures taken by the company to promote equal treatment and equal opportunities between women and men, non-discrimination, inclusion of people with disabilities and universal accessibility.

Moreover, Article 8 of the EU Taxonomy Regulation (Regulation (EU) 2020/852) establishes the requirement to provide information on how and to what extent the undertaking's activities are associated with economic activities that qualify as environmentally sustainable, and the proportion of their turnover, investments in fixed assets and operating expenditure associated with these environmentally sustainable activities. This regulation is mandatory for certain companies, including Inditex, which consolidates the report of this information in section 9.1.1. European Taxonomy of Sustainable Activities.

In addition, at Inditex we are working to align our reporting with the new EU Corporate Sustainability Reporting Directive (CSRD). This new European Directive aims to standardise the sustainability information disclosed by companies, placing sustainability reporting on an equal footing with financial reporting, as well as addressing the information requirements of the different stakeholders.

Against this backdrop, we are in the process of analysing the level of disclosure required under the new European Sustainability Reporting Standards (ESRS), developed by the European Financial Reporting Advisory Group (EFRAG), which establishes the common framework for reporting. The widespread adoption of these standards will enhance transparency and comparability between the sustainability reports, giving the market greater clarity.

Voluntary reporting frameworks, principles and standards

In addition to responding to those legislative requirements that apply to Inditex, we also follow the guidelines of the main reporting initiatives and entities:

/ GRI Sustainability Reporting Standards (GRI Standards).

- / The Principles of the United Nations Global Compact.
- / AA1000 Accountability Principles (2018).
- / Principles of the Sustainability Accounting Standards Board (SASB) framework.
- / The principles of the International Integrated Reporting Framework.
- / Recommendations of the Task Force on Climate-Related Financial Disclosures (TCFD).
- / Guide entitled Business Reporting on the SDGs: An Analysis of Goals and Targets, compiled by the Action Platform for Reporting on the Sustainable Development Goals.
- / Recommendations of the European Securities and Markets Authority (ESMA): European common enforcement priorities for annual financial reports.
- / Recommendations included in the European Commission Communication 2017/C215/01 – Guidelines on non-financial reporting, and in EU Supplement 2019/C209/01 on reporting climate-related information.

The Inditex Group's SNFI follows the criteria set forth in the **Integrated Reporting Framework**, compiled by the International Integrated Reporting Council (IIRC), which in 2022 joined the International Financial Reporting Standards Foundation (IFRS Foundation). Inditex is a member of the IFRS Sustainability Alliance, and has followed its principles since the initiative began, having taken part in the IIRC's pilot edition in 2011.

Furthermore, this Report has been prepared in accordance with the latest edition of the Global Reporting Initiative (GRI) Standards: **GRI Universal Standards 2021**. This international framework is cited in article 49.6.e) of the Commercial Code introduced by the aforementioned Act 11/2018.

Since 2007, we have followed the GRI standards and are members of the GRI Community, a community of companies from different sectors that collaborate, demonstrate leadership in reporting and share knowledge and best practices.



2024

The contents to be included in the Statement on Non-Financial Information have been determined on the basis of the materiality exercise we conducted using a double materiality approach. We carried out this analysis in accordance with the guidance provided by the European Financial Reporting Advisory Group (EFRAG), published in the European Sustainability Reporting Standards (ESRS), to support implementation of the European Union's Corporate Sustainability

Reporting Directive (CSRD). We also follow the recommendations outlined by the Global Reporting Initiative in its GRI 3: Material topics 2021, as a reference.

① More information in section [5.3.2. Materiality analysis](#) of this Report.

To facilitate navigation and as a reference for readers, we include a GRI Content Index in this Report. Accordingly, Inditex has prepared the report in accordance with the GRI Standards for the period from 1 February 2023 to 31 January 2024.

Since 2001 we have been participants in the United Nations Global Compact. As part of our commitment to this international initiative, which promotes the implementation of the **10 Principles of the United Nations Global Compact** in the areas of human rights, labour, environment and fight against corruption, we annually respond to the Communication on Progress (COP). Furthermore, in the GRI Content Index, we also collect information on the different section of the SNFI that would be related to each of these principles.



In preparing this Report we also used the **Sustainability Accounting Standards Board (SASB)** reporting framework as a reference. Specifically, we followed the guidelines of the version of the Apparel, Accessories and Footwear sector standard updated in June 2023, and have included an SASB reference table listing the disclosures and metrics related to this standard. In 2022, the International Financial Reporting Standards Foundation (IFRS Foundation) assumed responsibility for the SASB, which is overseen by the International Sustainability Standards Board (ISSB).

① More information in section [9.2.2. SASB reference table](#) of this Report.

Regarding the reporting information on climate change risks and opportunities, this report includes a specific chapter whose structure matches the four blocks described by the **Task Force on Climate Related Financial Disclosures (TCFD)**: Governance, Strategy, Risk Management, Metrics and Goals. At Inditex we follow the TCFD's recommendations for reporting this information.

① More information in section [6.1.6. Risks and opportunities arising from climate change](#) of this Report.

Furthermore, for the last seven years we have been using the guide **Business Reporting on the SDGs: An Analysis of Goals and Targets**, developed by the Action Platform for Reporting on the Sustainable Development Goals, a platform organised jointly by the United Nations Global Compact and the Global Reporting Initiative (GRI), to which Inditex has belonged since its inception and which came to an end in 2020. Accordingly, our Report also includes accurate information on our contribution to the United Nations Sustainable Development Goals (SDGs).

① More information in section [9.1.5. Inditex's contribution to the SDGs. Main indicators](#) of this Report.

Lastly, as a relevant aspect in the preparation of integrated reports, we have considered the recommendations of the **European Securities and Markets Authority (ESMA)**, published in its report **European common enforcement priorities for 2023 annual financial reports**. This year, the priorities for non-financial information have focused mainly on EU Taxonomy reporting and on the disclosure of information on climate targets and scope 3 emissions. Information on the above is provided throughout this Integrated Report. Moreover, it has also been prepared with reference to the recommendations included in the European Commission Communication 2017/C215/01 – Guidelines on non-financial reporting, and in EU 2019/C209/01 Supplement on reporting climate-related information.

Non-financial information control system

To ensure that the information included in the SNFI is truthful and accurate, and that it also meets the expectations of our stakeholders in terms of its reliability and robustness, at Inditex we have implemented an Internal Control System of Non-Financial Reporting (ICNFR). The purpose of this system is to provide reasonable security concerning the reliability of the information included in our SNFI. Therefore, the ICNFR mainly entails control activities on the processes of obtaining the information and monitoring activities of the key indicators included in the SNFI (the scope of which is defined annually taking into account qualitative and quantitative criteria as well as the results of the materiality analysis).

The Group's ICNFR has been developed in line with the COSO (Committee of Sponsoring Organizations of the Treadway Commission) international standard for internal control. As part of our drive for continuous improvement, it has been enriched and provided with more exhaustive controls year after year, a process that will continue to be developed in future years.

External assurance

The information disclosed in the Statement on Non-Financial Information has been subject to verification by an independent third-party, Ernst & Young. The scope and results of this independent verification are described in the Verification Report attached in section 10 of this Report. This report has been reviewed in accordance with the revised International Standard on Assurance Engagements (ISAE) 3000, Assurance Engagements Other than Audits or Review of Historical Financial Information, and with Guideline no. 47 on attestation engagements of the Statement on Non-financial Information issued by the *Instituto de Censores Jurados de Cuentas* (Institute of Certified Public Accountants) of Spain. Based on these two standards, in addition to the review carried out of the contents required by Act 11/2018, a selection of 42 disclosures from the GRI Standards have been reviewed. These disclosures were selected based on the materiality analysis performed by Inditex annually with its stakeholders. These disclosures are listed in the GRI index alongside the symbol: ☒

We report in accordance with the GRI Standards and the outcome of the verification corroborates that the declared GRI Standards application option is appropriate.

① More information in section [10. Independent Verification Report](#) of this Report.

Methodology for calculating the indicators included in the Statement on Non-Financial Information

In order to improve understanding and guarantee greater transparency, a methodological explanation for each indicator has been incorporated throughout the document. This explanation addresses several aspects, such as the scope of the indicator, the nature of the data used, the calculation or estimation criteria, and, if any, the corresponding exclusions. Special attention has been paid to including this explanation in the indicators whose calculation process is not obvious, with the aim of facilitating the understanding of how the results presented have been reached.

Scope of the environmental indicators

The environmental indicator system includes data obtained between 1 February 2023 and 31 January 2024. The scope of the indicators includes the Inditex Group's own facilities, specifically:

- / The headquarters in Arteixo (A Coruña) and all the retail concepts' headquarters: Zara, Pull&Bear, Massimo Dutti, Bershka, Stradivarius, Oysho, Zara Home and Tempe, all of them located in Spain.
- / All the Group's own factories, located in Spain.
- / All the Group's logistics centres.
- / All the Group's own stores.

Indicators where the scope differs are shown alongside the corresponding data.

With regard to environmental indicators that apply to our value chain, e.g. scope 3 emissions or supply chain water consumption, the specific scope is provided in the indicator itself.

Environmental performance in absolute and relative terms for environmental indicators

The data from the environmental indicator system are shown in absolute and relative terms, calculating the latter based on the square meters of surface of our facilities and based on net sales, in order to represent the efficiency achieved after the company's activities and the continuous improvement derived from the management. Relative indicators are calculated using the following formula:

/ Ratio per square metre (m^2) = absolute figure for the year/total surface area in m^2

/ Ratio by net sales³ = absolute value for the year/sales (€)

Disclaimer

In the current context, the metrics, models and methods of calculation used by companies to report sustainability information have, generally speaking, been introduced recently and are evolving rapidly, adapting to the different reporting frameworks and regulatory developments. Accordingly, the availability of information, together with methodological consistency and the possibility of comparing information year-on-year are among the challenges that companies are currently facing.

Over the next years, the development of harmonised standards together with sector-specific application guidelines can be expected to facilitate the reporting of sustainability information to the market and stakeholders. Combined with the development of data systems and models, this will enhance reporting and comparability between companies.

General information on sustainability

A number of calculations, estimates and assumptions, as well as future projections, were made in preparing the Statement on Non-Financial Information. With regard to these future projections, the information and objectives concerning sustainability included in this document entail a high degree of uncertainty and inherent risk.

The reported information on sustainability indicators comprises a combination of primary and secondary data. When source data are not available, estimates or assumptions based on trends in actual data, as well as information from external sources, are used. For indicators that require so, clarifications on the methodology and/or scope of the information reported have been included.

Consequently, it should be noted that the methodologies currently used in the reporting and calculation of sustainability indicators will continue to evolve going forward. Hence, as we move towards globally harmonised reporting, it may be necessary to restate historical data as well as future pathways in the next few years.

³ Includes sales in our own physical stores and online.

Information relating to climate risks

With specific regard to climate-related information, the identification and assessment of physical and transition climate risks are subject to numerous uncertainties, arising, among other things, from the complexity of anticipating how the climate may evolve. These uncertainties mean that the data contained in this Report may be inaccurate in the future, depending on how the climate evolves and on the scientific consensus regarding the process of climate change. Such data therefore represent the best estimate that can be made using existing climate information and models.

Climate modelling is therefore a complex discipline that is exposed to three main uncertainties: natural climate variability, how accurate the climate model turns out to be, and how accurate the emissions scenario proves to be. Climate scenarios are not forecasts, predictions or sensitivity analyses, but hypothetical constructions of plausible future situations based on science, aimed at assessing the resilience of a company's assets, business model and strategy to such scenarios.

Bearing uncertainties and our business activity in mind, Inditex has no liabilities, expenses, assets, provisions or contingencies of an environmental nature that could play a significant role in terms of the net assets, the financial situation and results of the Company. For this reason, we do not include specific breakdowns.

① More information in [Note 32](#) of the Consolidated Annual Accounts.

Further considerations

The statements contained in this document reflect the Company's current views with respect to future projections. By their nature are subject to risks and uncertainties that could cause the final outcomes to be significantly different from what the forward-looking statements state or suggest.

Against this backdrop, sustainability commitments and targets have not been affected by the sale and subsequent franchise of the business in Argentina and Uruguay, nor by the situation between Russia and Ukraine, and progress continued to be made as planned during the year. Operations in Ukraine remain suspended at the time of preparation of this Report, although they are scheduled to be gradually reopened from April 2024. Where any specific indicator has been affected as a result of the conjunctural circumstances of this year, its performance is detailed separately in the relevant section of this Report.

5

About Inditex

5.1. Corporate governance

5.2. Strategy

5.3. Stakeholders



5.1. Corporate governance

Material topic: Good governance and integrity



5.1.1. Good corporate governance

GRI 2-9; 2-10; 2-11; 2-12; 2-13; 2-16; 2-17; 2-18; 2-19; 2-20; 2-21; 2-23; 2-24; 3-3; 201-3; 405-1; 405-2

Inditex Board of Directors ensures **compliance of the Company with its social and ethical duties**, its duty to act in good faith in its relations with employees and with third parties, and to ensure the balance of power and the respect and equality among all our shareholders, especially minority shareholders.

Inditex has a Corporate Governance System comprising a series of bodies, rules, procedures and mechanisms to guarantee that the directors and the management team, who are responsible for the governance of the Company, carry out their duties in a **diligent, ethical and transparent** manner and are accountable for their activity—which is subject to verification and control, both internal and external—and, at the same time, that no person or small group of persons holds decision-making power within the Company that is not subject to checks and balances, and that no shareholder receives privileged treatment over the others.

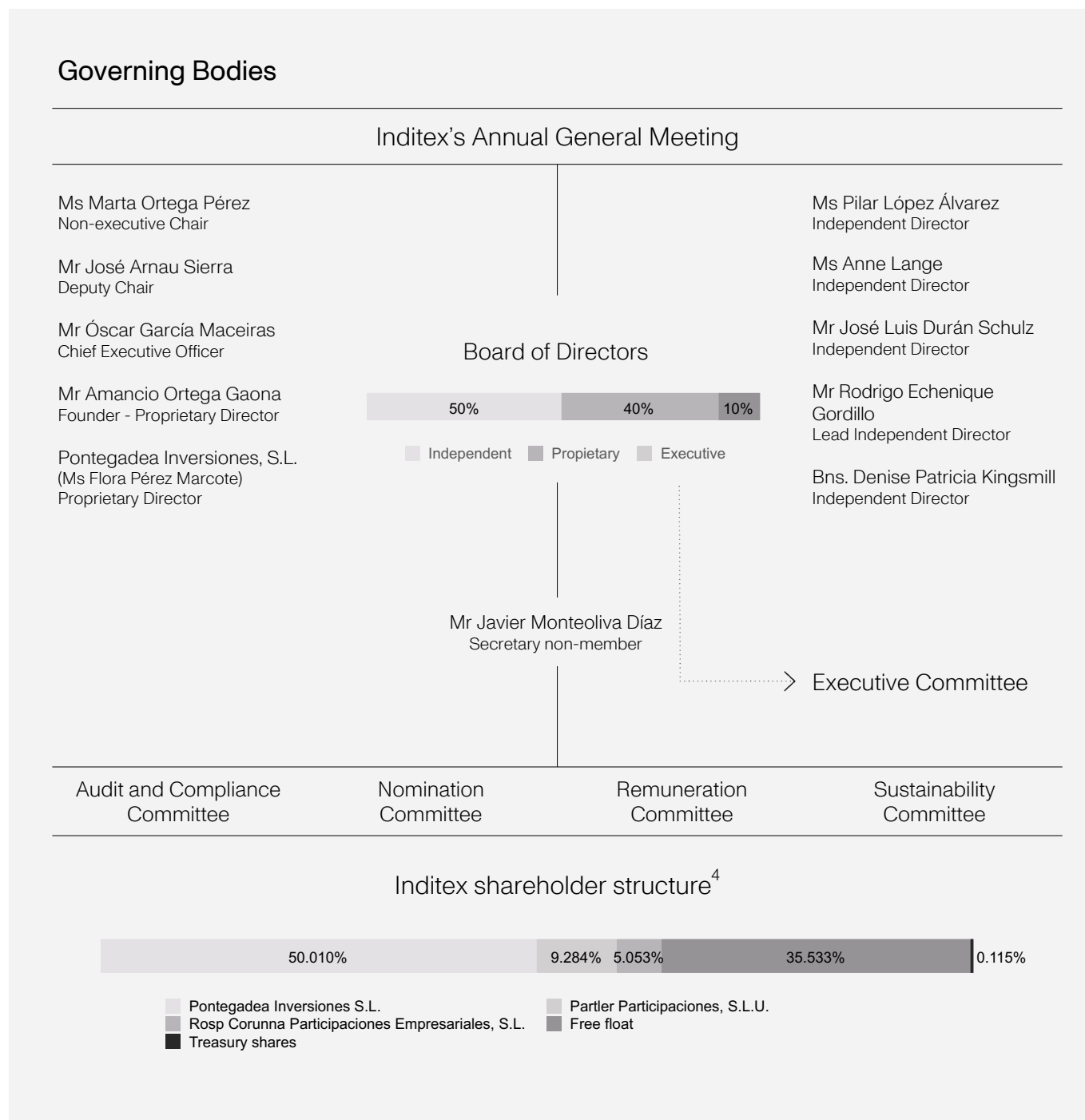
Furthermore, the Board performs its duties in accordance with the corporate interest, meaning the **viability and long-term maximisation of the value of the Company in the common interest**, not only of all our shareholders, but also of all our stakeholders, whose legitimate interests, public or private, converge in the course of our business activity, and especially those of our employees, customers and suppliers, the environment and the civil society at large.

To achieve these objectives, applicable legislative developments and recommendations are implemented and good corporate governance practices are systematically strengthened in respect of the main body tasked with overseeing corporate governance: the Board of Directors and its Committees. Upon approving and/or amending any internal regulation, priority is given to establishing standards that improve governance and, therefore, the confidence of investors, shareholders and other stakeholders.

Inditex's Corporate Governance System achieves full compliance with the regulatory requirements set forth in the applicable legislation, and adherence to the recommendations outlined in the Good Governance Code (GGC) of the Spanish National Securities Market Commission (CNMV).



5.1.1.1. Organisation and operation of the governing bodies



Inditex's 2023 Annual General Meeting (hereinafter, also '2023 AGM') was held on 11 July in hybrid format, with in-person and remote attendance and participation. Among other resolutions, the meeting approved the re-election of the founder and majority shareholder, Mr. Amancio Ortega Gaona, as a proprietary director, and Mr. José Luis Durán Schulz as an external independent director.

Likewise, in the context of the departure of Mr. Emilio Saracho Rodríguez de Torres, designated 'affiliated director' after having served 12 years on Inditex's Board, a reduction in the number of members of the Board of Directors was approved, leaving it at ten (10).

Detailed information on the Annual General Meeting and on the regulation, organisational and operational rules, composition, mission and competences and the main activities or lines of action of the Board of Directors and the Audit and Compliance, Nomination, Remuneration and Sustainability Committees for 2023, is provided in the 2023 Annual Corporate Governance Report (ACGR). This report was approved by the Board of Directors at its meeting of 12 March 2024 and is available on our corporate website (in the 'Investors' section, under 'Corporate Governance > Reports and Regulations') and on the CNMV website.

① More information in the [Annual Corporate Governance Report](#).

Management Committee

Inditex's Management Committee is responsible for coordinating the Company's management and supports the CEO in the exercise of his duties. This Committee is conducive to collegiate decision-making in accordance with international best practices on corporate governance.

The members of the Management Committee as of 31 January 2024 are as follows:

Member	Position
José Pablo del Bado Rivas	Pull&Bear Director
Miguel Díaz Miranda	Chief Financial Officer & Chief Operating Officer, Zara
Ignacio Fernández Fernández	Chief Financial Officer, Inditex
Javier García Torralbo	Chief Digital Officer, Inditex
Begoña López-Cano Ibarreche	Chief People Officer, Inditex
Javier Losada Montero	Chief Sustainability Officer, Inditex
Beatriz Padín Santos	Zara Woman Director
Jorge Pérez Marcote	Massimo Dutti Director
Óscar Pérez Marcote	Zara Director

5.1.1.2. Main lines of action by Inditex corporate bodies in 2023

The agenda of business to be transacted by Inditex governing bodies has continued to be shaped by sustainability:

- / The monitoring of sustainability targets for the 2020-2025 period and the approval of the various action plans and roadmaps to achieve them.
- / The Fibres Plan concerning the target on the use of lower-impact textile raw materials.
- / The Decarbonisation Plan, with respect to the net-zero target.
- / The assessment of the Supply Chain Transformation Plan.
- / The approval of the new sustainability targets, which were announced at the 2023 AGM. More information in section [5.2.2. Sustainability strategy](#).
- / Assessment of the Group's Diversity and Inclusion strategy and purpose, as part of the Group's responsible action.
- / Monitoring of the new regulatory framework and sustainability reporting standards.
- / Monitoring of the impact on the value chain of the earthquakes in Morocco and Türkiye and the various social initiatives.

The Board's agenda was also determined by:

- / The review of the financial and non-financial information that the Company discloses to the Market and of the various mandatory transparency reports.
- / The business situation and in particular, (i) the monitoring of the financial results and the budget, as well as the fulfilment of the strategic objectives, (ii) the monitoring and analysis of the evolution and expectations in relation to the different commercial formats and the different markets where the Group operates, or (iii) the analysis of the different impacts for the Group in view of the socioeconomic situation derived from the earthquakes in Türkiye and Morocco, or the different geopolitical conflicts.
- / The analysis and monitoring of the main risks affecting the Inditex Group and updating of the risk map.
- / The monitoring and formal approval of the different (i) corporate operations, in particular, in relation to the sale of certain subsidiaries of the Group and the management of the business in certain markets through the franchise system, and (ii) transactions with related parties.

/ Further information on these transactions is included in the Annual Report on Related-Party Transactions for the financial year 2023, which will be published on the corporate website at the time the notice of the 2024 Annual General Meeting is published.

/ The formal aspects of (i) the appointment and re-election of directors, (ii) the remuneration of the CEO and members of senior management, and (iii) the evaluation of the performance of the Board of Directors, its Committees and other key positions.

And, in particular, the following should be highlighted due to their special relevance:

/ The formal establishment of the new Cybersecurity Advisory Committee, as announced at the 2023 AGM:

- This Committee's main purpose, as a permanent internal advisory and consultative body without executive powers, is to provide strategic and independent advice to the relevant governing bodies and the Company's management on cybersecurity, its regulations, best practices and emerging risks that could affect the Company.
- This new body strongly advances the consolidation of Inditex's cybersecurity governance structure, led by the Board of Directors itself. The Board is supported by a series of consultative bodies, including the Audit and Compliance Committee, and executives, represented in the Group's management team. Involved, in the first

instance, is the Chief Information Security Officer (CISO), who is supported, in turn, by the Information Security Committee, of which the CEO is also a member.

- The establishment of this body also required implementing the necessary formal aspects relating to the appointment of its members and the determination of their remuneration, the approval of its organisational and operational rules and the adaptation of other internal regulations to this new organisational structure, etc.

/ The approval of the Group's new Internal Reporting System. More information in section [8.1.2. Global Compliance Model and Criminal Risk Prevention Model](#).

/ Follow-up on the analysis concerning the Company's key positions and the identification of suitable profiles to fill them.

/ Approval of the new Directors' Remuneration Policy for financial years 2024, 2025 and 2026 and the new 2023-2027 Long-Term Incentive Plan.

More information on the activities and matters dealt with by the Board and its Committees can be found in the Annual Operating Reports for the financial year 2023, which will be published on the corporate website at the time the notice of the 2024 Annual General Meeting is published.



5.1.1.3. Diversity in our governing bodies

Inditex has a Diversity and Inclusion Policy, approved by the Board of Directors in December 2017, and partially amended in December 2020. This policy establishes the framework that promotes the values of diversity, multiculturalism, acceptance and integration in all the Group's entities and is driven by the most senior levels of the Company.

① More information in section [7.1.2. Our approach to diversity](#) of this Report.

Moreover, we also have a Diversity of Board of Directors Membership and Director Selection Policy, approved by the Board of Directors on 9 December 2015 and last amended on 8 June 2021.

This Policy sets forth the criteria for the selection of directors to guide the activities of the relevant corporate bodies.

The Nomination Committee is the board specialised committee involved in the process of selection, nomination, ratification and re-election of our directors. The Nomination Committee's guiding principle is to guarantee a diverse membership on the various collegiate governing bodies of our Company, including diversity of knowledge, skills, age, international experience or geographic origin and, in particular, gender, among the criteria for consideration.

In 2023, coinciding with the step down of Mr Emilio Saracho Rodríguez de Torres as a Director of the Company, this Committee, in accordance with best practices, reviewed and updated the **Board Skills Matrix** approved in 2022, to take into account the Board's new composition. Thus, the Matrix remains as a useful tool at the service of the Nomination Committee to review the criteria for ensuring the proper and diverse composition of the Board of Directors (see below the main indicators resulting from the Matrix) and the selection of potential future candidates.

With regard to gender diversity, the Committee has consistently strived to achieve the highest levels of female representation. In 2022, with five women on the Board, the target set in 2020 of 40% of female directors out of the total number of members of the Board was exceeded, **and in 2023 parity was reached between men and women on Inditex's most senior governing body.**

This also places Inditex above the targets set for the under-represented gender in Directive (EU) 2022/2381 of the European Parliament and of the Council of 23 November 2022 on improving the gender balance among board members of listed companies and related measures, to be achieved by June 2026, of 40% in relation to non-executive directors or 33% of the total members of the Board, regardless of whether they are executive or non-executive directors. Moreover, the percentage of women⁵ on the Board of Directors of Inditex is above the average of companies listed in the Ibex 35 Index.

Governing Bodies	% women	
	2023	2022
Board of Directors	50.00%	45.45%
Audit and Compliance Committee	50.00%	42.86%
Nomination Committee	40.00%	40.00%
Remuneration Committee	25.00%	20.00%
Sustainability Committee	75.00%	60.00%

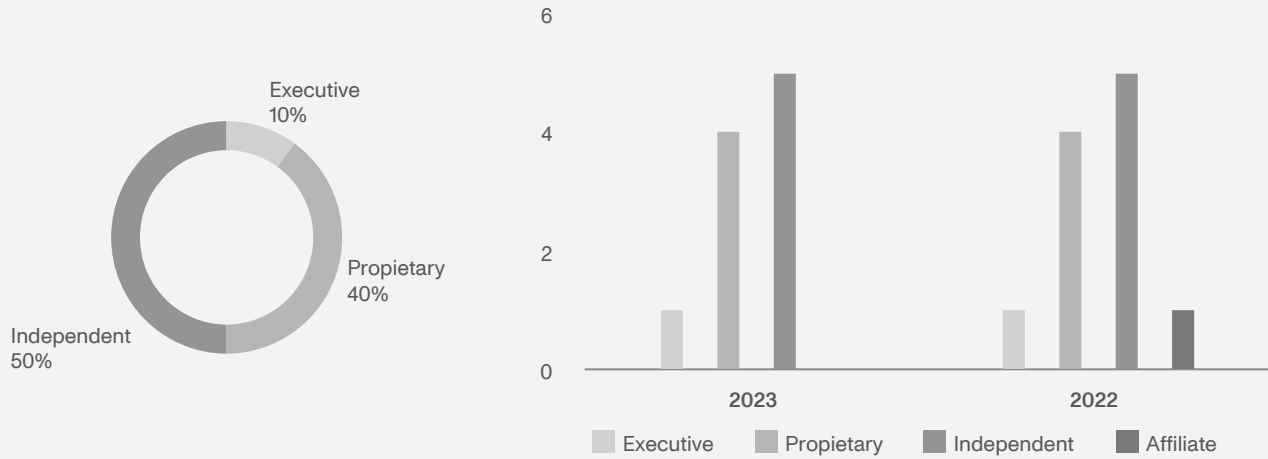
Moreover, the Committee is also responsible for the appointment and removal of members of the Senior Management, and must also ensure gender diversity and the promotion of female leadership, **encouraging the existence of a significant number of female senior managers.**



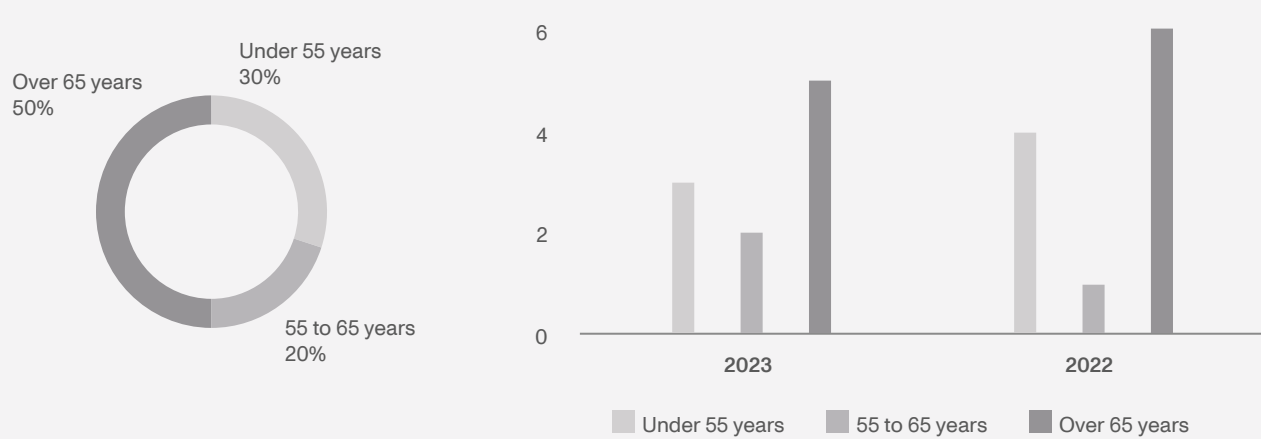
⁵ The year-on-year change in the Board of Directors and its Committees has been affected by the reduction in the number of Board members approved at the 2023 AGM.

Main diversity indicators of the Board of Directors of Inditex for financial year 2023 and their performance

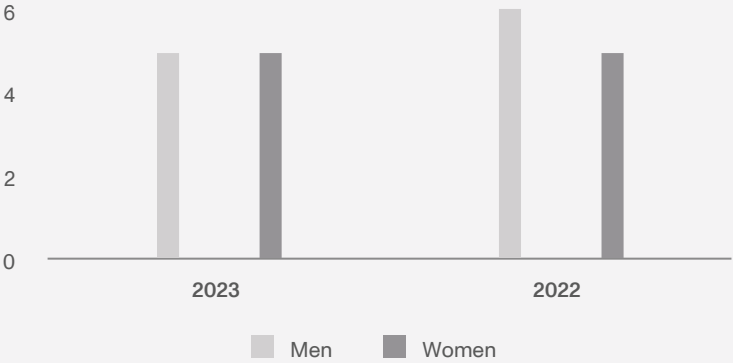
Directorship type



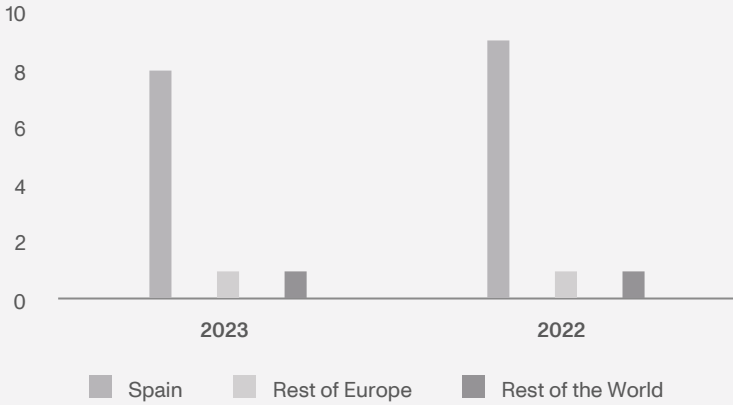
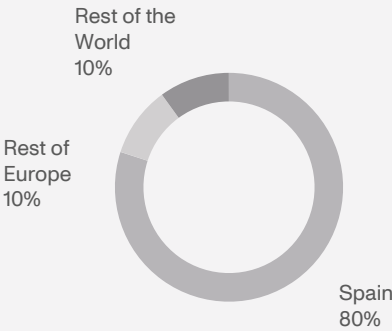
Age



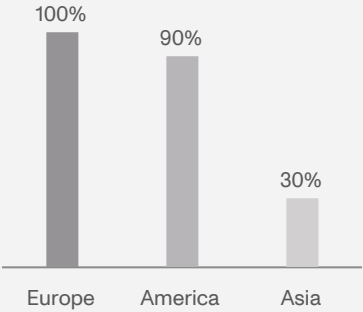
Gender



Geographic origin

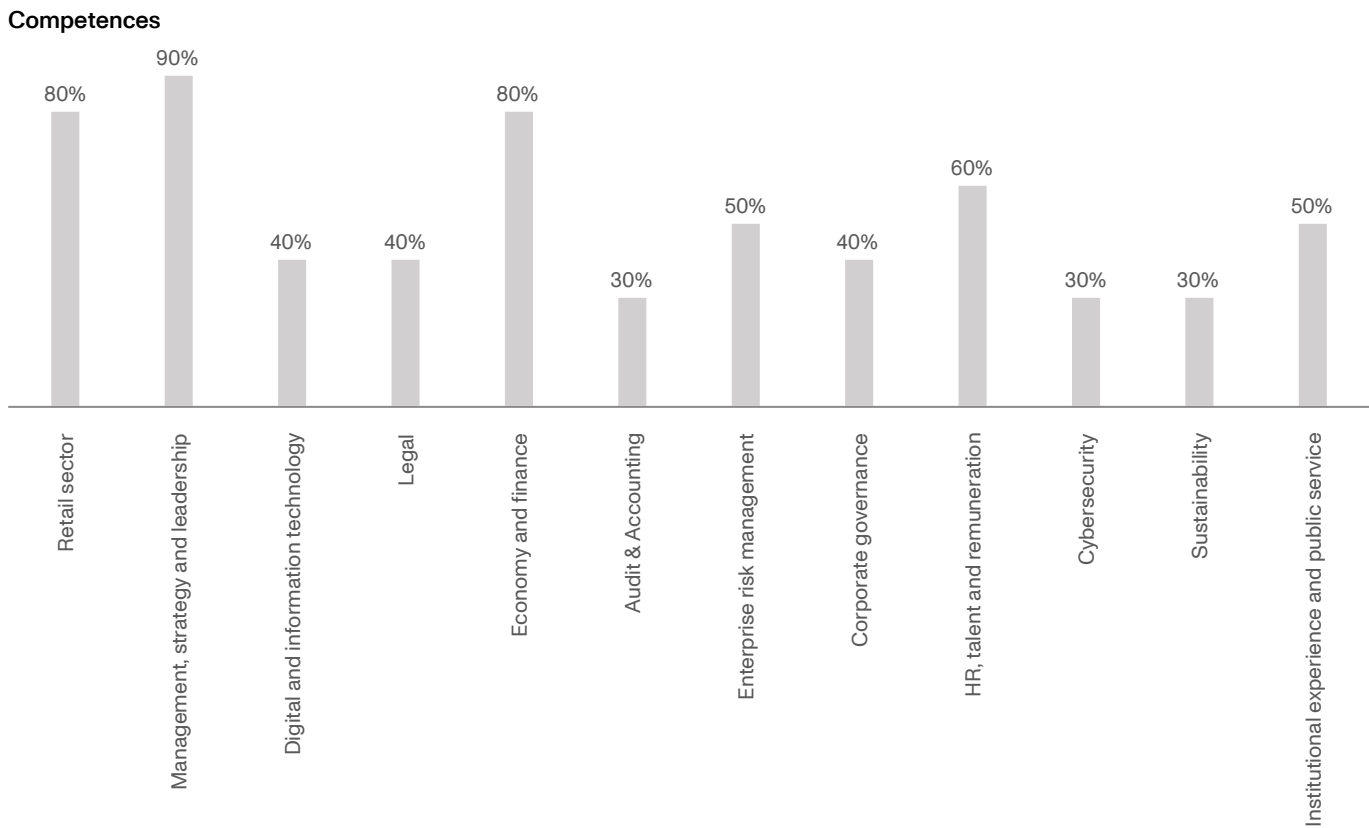


International experience/ education



Previous experience





Overall, in accordance with the updated Board Skills Matrix, it is considered that the current structure and composition of the Board of Directors of Inditex, as of today, maintains a high level of balance and stability, as materialised in the following: (i) a balanced composition among the different directorship types, with the presence of independent, proprietary and executive directors, but in any event with an ample majority of non-executive and independent directors, (ii) a parity presence of men and women, and (iii) an appropriate balance of skills, knowledge and experience, suited to the interests of the Company and the Group.

Diversity in a company’s governing bodies ensures there are multiple perspectives, helping to identify risks and opportunities and, therefore, to achieve corporate objectives.

In addition, the diversity promoted by the governing bodies and Senior Management encourages the promotion of equal opportunities across the organisation, nurturing a diverse and inclusive workplace, which contributes primarily to the achievement of Inditex’s corporate objectives and a better business performance.



5.1.1.4. Other indicators of Inditex's Corporate Governance System

Item	2023	2022
Quorum for attendance at the Annual General Meeting	89%	88%
Number of directors	10	11
Executive Directors	1	1
Independent Directors	5	5
Proprietary Directors	4	4
Affiliate Directors	0	1
Lead independent director	YES	YES
Meetings of the Board	8	10
Attendance %	89%	98%
Meetings of the Audit and Compliance Committee	7	6
Attendance %	98%	100%
Meetings of the Nomination Committee	6	5
Attendance %	90%	100%
Meetings of the Remuneration Committee	4	5
Attendance %	94%	100%
Meetings of the Sustainability Committee	5	6
Attendance %	100%	100%

5.1.1.5. Remuneration of Directors and Senior Management

Detailed information on the **Directors' Remuneration Policy** in force for 2021, 2022 and 2023, which ceased to be effective on 31 January 2024, its principles, foundations and elements, as well as its application in 2023, are set out in the 2023 Annual Report on Remuneration of Directors, approved by the Board of Directors at its meeting of 12 March 2024. This report is available on our corporate website (in the 'Investors' section, under 'Corporate Governance' > 'Reports & Regulations') and on the CNMV website.

① More information in the [Annual Remuneration Report](#).

The 2023 AGM approved the new Directors' Remuneration Policy for financial years 2024, 2025 and 2026 as well as the new Long-Term Incentive Plan 2023-2027 (hereinafter referred to as the '2023-2027 Plan').

This new Remuneration Policy, which will enter into force for the financial year commencing on 1 February 2024, is consistent with the Remuneration Policy for 2021, 2022 and 2023, and is aligned with Inditex's short and long-term strategic priorities, and focuses on the creation of long-term value and sustainability. The new 2023-2027 Plan, also consistent with the 2021-2025 Long-Term Incentive Plan, incorporates the new public sustainability objectives announced at the 2023 AGM.

Detailed information on the new Remuneration Policy and the 2023-2027 Plan can be found in the aforementioned Annual Report on Remuneration of Directors for 2023.

Total remuneration of the Board of Directors in 2023 (in thousands of euros)

	2023	2022
Total Remuneration of the Board of Directors	13,462	38,698

① More information in section C.1.13 of the [Annual Corporate Governance Report](#) and in the [Annual Remuneration Report](#).

No gender-specific information is included regarding directors' average remuneration as there is no gender pay gap in Inditex's governing bodies. The remuneration of directors in their capacity as such consists of a fixed annual remuneration for each of them for their membership of the Board and its various committees and an additional remuneration for discharging the offices of chair and deputy chair of the Board and for chairing the different committees, regardless of gender. At present, both the Board of Directors and two of Inditex's Committees are chaired by women. Only the CEO receives a remuneration package (including

fixed and variable components) for the performance of his executive duties, and the items and amounts of the CEO's remuneration are therefore not comparable to that of the other directors.

Average remuneration of Senior Management in 2023 (in thousands of euros)

The annual average remuneration earned by the 22 members of the Senior Management as of 31 January 2024 is as follows:

Average remuneration earned by the Senior Management	2023	2022
Men	5,101	4,149
Women	4,628	3,753
Total	4,957	4,044

① More information in section C.1.13. of the *Annual Corporate Governance Report*.

5.1.1.6. Vision and challenges: towards sustainable governance

Sustainability is one of the essential elements of Inditex's Corporate Governance System. This system has been in a **continuous process of review and improvement**, evolving in line with international guidelines and best practices in this area and, in particular, with ESG (Environmental, Social and Governance) criteria, towards a system of sustainable governance.

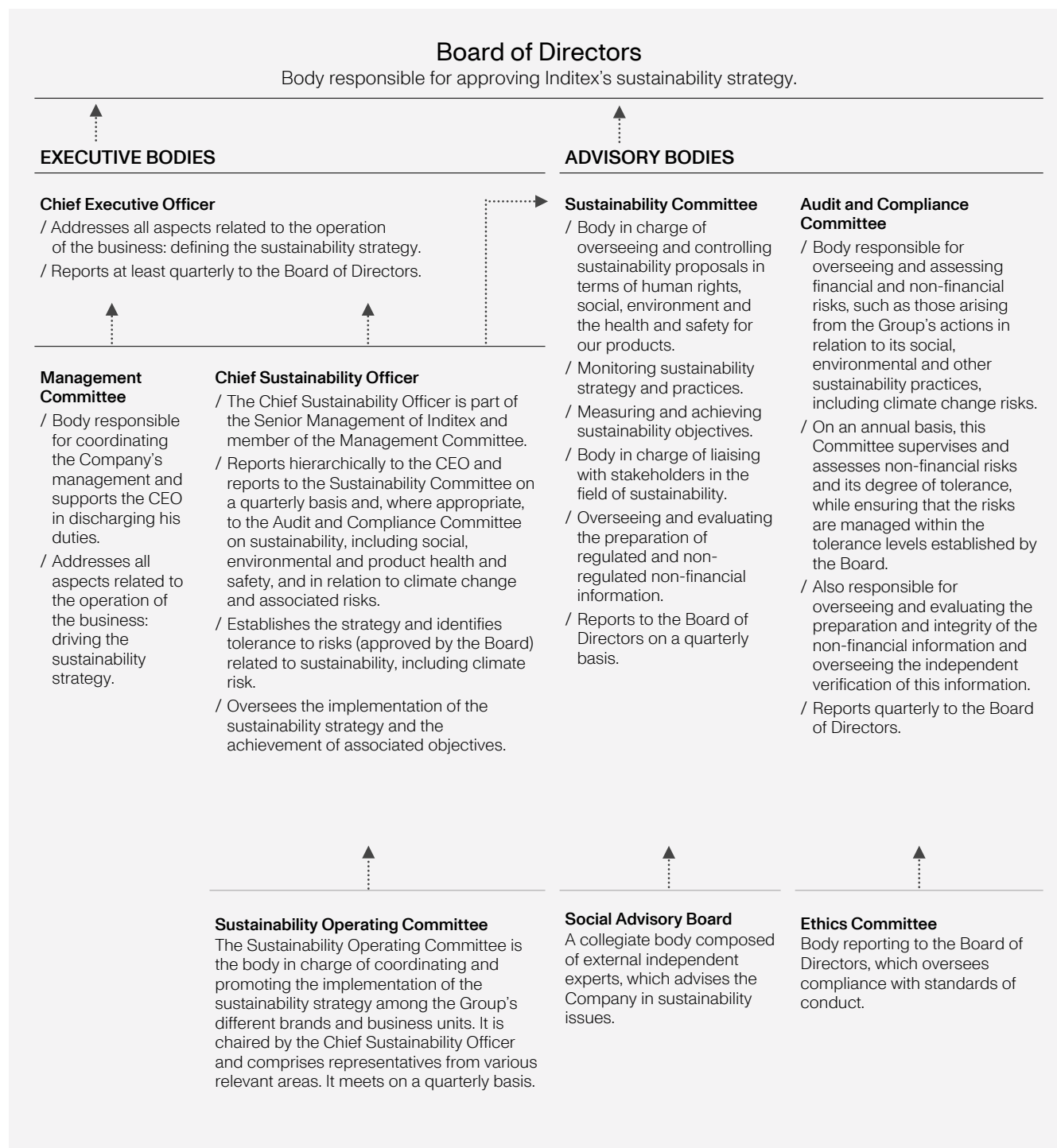
The Group's commitment to sustainability is reflected at the highest level of the Company, starting with the most senior governing bodies, with sustainability as a factor integrated in the decision-making process.

Accordingly, Inditex's Corporate Governance System provides a comprehensive vision that promotes responsible governance, in order to safeguard the interests of our shareholders, while at the same time reflecting and taking responsibility for the environmental, social and reputational impact of our activity, with the aim of maximising the long-term corporate interest through the continuous creation of value for each and every one of our stakeholders.

The result is a **socially responsible and sustainable business model**, in continuous participatory dialogue and aimed at the common benefit of all related strata.



Sustainability Governance



Our Corporate Governance System integrates sustainability by means of the following elements:

Integration of sustainability into the Company's management and corporate strategy

The **Sustainability Committee**, as an informative and advisory Board committee, is responsible for monitoring our social and environmental sustainability strategy and practices, as well as fostering a commitment to the Sustainable Development Goals. In accordance with article 9.2 of the Sustainability Committee Regulations, the members of the Sustainability Committee shall be appointed, especially its chair, with the knowledge, skills and experience appropriate to the functions they are called upon to perform, including, among others, in matters of sustainability, social action initiatives, sustainable resource management and the design of stakeholder communication policies.

Hence, it liaises directly with the Sustainability Department, which is responsible for defining the Group's sustainability strategy and which reports, at least quarterly, on the degree of achievement of the strategic objectives and proposals in the areas of human rights, social, environment, and health and safety of our products.

Moreover, the Chief Sustainability Officer is a member of Inditex's Management Committee. This body reviews the strategy and business and investment plans also in this field and, at the same time, liaises directly with the various corporate and business areas responsible for executing the sustainability strategy and proposals.

In 2023, as part of the process to define the revised climate change strategy in 2022, the Sustainability Committee assessed the Company's Decarbonisation Plan and worked on its development or 'Climate Transition Plan'.

The existence of robust sustainability monitoring mechanisms

Meanwhile, one of the main duties of the **Audit and Compliance Committee** is to oversee and assess financial and non-financial risks, such as those arising from the Group's actions in relation to its social, environmental and other sustainability practices.

The members of the Sustainability Committee, including its Chair, also serve on the Audit and Compliance Committee. The overlapping presence of directors on both committees and the report that the Chair of the Sustainability Committee submits to the Board of Directors regarding the main issues discussed at their respective meetings ensure that the most relevant social and environmental sustainability issues are taken into consideration in the deliberations of the Audit and Compliance Committee and of the Board, allowing for a better identification of the risks and opportunities associated with these matters.

This system of dialogue at different levels within the Organisation, right up to the highest level, helps to better assess processes and identify the sustainability risks, opportunities and impacts of our commercial operations.

Establishing appropriate mechanisms to reflect the expectations of our stakeholders

The **Sustainability Committee** is also the body responsible for relations with the various stakeholders in the area of sustainability.

In particular, it is in charge of overseeing and evaluating, both the strategy of communication and relations with the various stakeholders, as well as the procedures and channels of communication in place at Inditex to guarantee proper and seamless communication with them.

Furthermore, Inditex has a **Social Advisory Board**. It is the Company's permanent external body which acts in an advisory and consultative capacity in matters of social and environmental sustainability. It is made up of persons external to and independent of the Group. It arranges and institutionalises dialogue with those spokespersons considered key in the civil society in which we develop our business model and plays, in addition, an important role in determining the materiality analysis, in which it participates in collaboration with our stakeholders.

Its composition as of 31 January 2024 is as follows:

Member
Mr Victor Viñuales Edó
Ms Paula Farias Huanqui
Ms Cecilia Plañol Lacalle
Mr Ezequiel Reficco
Mr Javier Sardina López

Accountability and transparency

In addition, the **Sustainability Committee** is further tasked with overseeing and verifying the process of preparing regulated and non-regulated non-financial information. This procedure is carried out in coordination with the **Audit and Compliance Committee**, which is responsible for the ultimate supervision and evaluation of the preparation process and the integrity of the non-financial information included in the management report, ensuring compliance with all legal requirements, and also dealing with the process of independent verification of this information. Such coordinated action ensures a global view of the effective implementation of policies relative to their respective areas of competence, as well as enhancing the quality of non-financial information made available to the market.

The link between sustainability performance and the remuneration system for our Executive Director and Senior Managers

The Chief Executive Officer's variable remuneration, both annual and multi-year, is linked to the fulfilment of certain sustainability goals (environmental, social and corporate governance), consistent with the Group's sustainability strategy, which is a further incentive for the development of that strategy.

The annual variable remuneration of the Chief Executive Officer for 2023 is linked to, among other criteria, progress in the implementation of Inditex's global sustainability strategy. This progress will be measured according to the indicators updated at the 2023 Annual General Meeting, with a maximum weight of up to 15% of the total annual variable remuneration.

Weight	Goal	Measurement criteria ⁽¹⁾
15%	Progress in the implementation of Inditex's global sustainability strategy, measured according to the following indicators:	(i) Increase in the use of lower-impact fibres, measured through the use of raw materials from preferred sources: cotton, linen, polyester and cellulosic fibres;
		(ii) Degree of progress in the plan for the environmental improvement of supply chain, focused on reducing water and energy consumption;
		(iii) Degree of compliance with our commitment that by 2023, all waste generated at our corporate headquarters, logistics centres, own factories and own stores will be properly collected and managed;
		(iv) Degree of compliance with our 2023 target that all packaging materials should be collected for subsequent reuse in our supply chain;
		(v) Development of additional mechanisms in renewable energy infrastructure;
		(vi) Degree of implementation of environmental projects related to the initiative to charge for paper bags and envelopes in stores;
		(vii) Degree of progress in the elimination of single-use plastics for customers; and
		(viii) Innovation projects related to textile recyclability.

(1) The objectives themselves do not change with respect to what was published in the previous year's report, nor does their calculation methodology; this is merely a terminological adaptation to the evolution of sustainability initiatives.



Furthermore, in line with the Remuneration Policy, the weight of sustainability metrics to which multi-year remuneration is linked in the long-term incentive plans currently in force is 25%, which is above the 20% market median. The metrics to which the long-term incentive plans are linked are as follows:

Weight	Target	2021-2025 Plan Measurement Criteria		2023-2027 Plan Measurement Criteria
		(Cycle I)	(Cycle II)	(Cycle I)
25 % ⁽¹⁾	Sustainability index (composed of four indicators)	Use of lower-impact fibres: measured as percentage use of raw materials from preferred sources.	Preferred fibre consumption: measured as the percentage reduction of the weight of conventional fibres over total fibre consumption (in t), for the four fibres involving a public commitment (cotton, polyester, man-made cellulosic fibres and linen).	Consumption of textile raw materials with lower impact (known as preferred): measured as the percentage of preferred textile raw materials (organic, in conversion, regenerative, recycled, certified as European linen, Green viscose in the Hot Button Report by Canopy and EU BAT compliant or Next Generation) in the winter campaign of financial year 2025 over total purchases of the main fibres (cotton, polyester, linen, viscose, modal and lyocell) in that campaign.
		Waste management: measured as the percentage of Inditex facilities (headquarters, factories, logistics centres and stores) that have a waste management system in place to recycle, recover and adequately treat such waste for its recovery, preventing it from ending up in a landfill.	Water consumption: measured in terms of percentage reduction of water consumption (litre/kg) in the supply chain.	Water consumption: measured as the percentage reduction in water consumed (litre/kg) in the supply chain between the cycle start date (1 February 2023) and end date (31 January 2026).
		Decarbonisation: measured as the reduction in the volume of Greenhouse Gas emissions in own operations (scope 1 and 2).	Decarbonisation: measured as the percentage reduction in the volume of scope 3 Greenhouse Gas emissions, in the 'purchased goods and services' category.	Decarbonisation: measured as the percentage reduction in the volume of scope 3 Greenhouse Gas emissions, in the 'purchased goods and services' category, between the cycle start date (1 February 2023) and end date (31 January 2026).
		Social: measured as the percentage of suppliers of Inditex products ranked A or B in the social score index.	Social: measured as the percentage of suppliers of Inditex products ranked A and B in the social score index.	Social: total number of workers included in programmes in the Priority Impact Areas of Social Dialogue, Living wages, Health, Respect and Resilience, pursuant to the Workers at the Centre Plan in the period from 1 February 2023 to 31 January 2026 (cumulative data for the three years 2023, 2024 and 2025).

(1) Taking into account that two different long-term incentive plans have been in force during the financial year 2023, in which the weight of the sustainability index is already 25 % in both cases.

As a result, in 2023, the weight of sustainability goals over the CEO's total variable remuneration has been approximately 20%, and 36% over fixed remuneration.

website (in the 'Investors' section, under 'Corporate Governance > Reports & Regulations') and on CNMV website.

Details of the objectives, the measurement criteria and the scales of achievement for each of the sustainability objectives linked to the Chief Executive Officer's variable remuneration are provided in the 2023 Annual Report on Remuneration of Directors. It was approved by the Board of Directors on 12 March 2024 and is available on the corporate

① More information in the *Annual Report on Remuneration*.

There is a clear alignment between the remuneration structures of the Chief Executive Officer and the members of Senior Management, coinciding both in their principles and remuneration items and in the design of the incentives, which are broadly consistent throughout the organisation, as well as in the mechanics of the pay review process. Accordingly:

- / The total remuneration of the members of Senior Management consists mainly of the following items: (i) fixed remuneration, (ii) annual variable remuneration and (iii) long-term variable remuneration.
- / The metrics established in both annual variable remuneration and multi-year variable remuneration are linked to the achievement of a combination of financial and non-financial targets. These targets are specific, predetermined and quantifiable, aligned with the social interest and the Group's Strategic Plan. Accordingly, compliance with sustainability goals is also a component of the Senior Management's variable remuneration.
- / This variable remuneration system has the flexibility to allow modulation to the extent that, under certain circumstances it is possible for members of Senior Management to not receive any variable remuneration if minimum performance thresholds are not met. That is, there are no guaranteed variable remunerations.

All of the foregoing reinforces the commitment of the Company's key staff to sustainability. It also means that variable remuneration is fully linked to business performance and aligned with the social interest and with the Group's sustainability goals and strategy, in the short, medium and long term.

5.1.2. Human rights due diligence

GRI 2-23; 2-24; 2-25; 2-6; 3-3; 407-1; 408-1; 409-1; AF5; AF24

① More information in the *Human Rights Report* available on Inditex's website.

Respect for human rights is a priority for Inditex, which is why our approach to it is comprehensive. We place people at the centre of all our decisions and actions. This commitment starts with the Board of Directors and permeates the entire Company through the corporate culture. Thus, respect for human rights is integrated in processes, decisions and relationships throughout our day-to-day.

Based on this commitment, our human rights strategy is fully aligned with the United Nations Guiding Principles on Business and Human Rights. This strategy pervades all Group operations and articulates our alignment with best practices throughout the value chain.

Specifically, our human rights strategy is structured on the following three pillars:

Inditex's human rights strategy

Integrating the promotion of and respect for human rights throughout our value chain

Policy on Human Rights

Approved in December 2016 and amended in February 2024 by the Board of Directors.

It applies to the entire Group.

Due diligence

- / Identifying potential impacts arising from operations and relationships with third parties.
- / Prioritising impacts.
- / Integration of the results in processes.

Grievance mechanisms

Underpin the identification of potential impacts and help strengthen aspects of the due diligence processes.

Policy on Human Rights

Approved by the Board of Directors in 2016 and updated in February 2024, our Policy on Human Rights is the first pillar of our strategy. It is based on related reference documents such as the Universal Declaration of Human Rights, the Guiding Principles on Business and Human Rights and the main conventions of the International Labour Organization, among others.

This Policy enshrines Inditex's commitment to the values that these frameworks represent and is binding on all employees, regardless of their seniority and on all those having dealings with the Group.

For prioritisation purposes, the Policy also identifies the rights most directly connected with the main activities of the Group and the stakeholders we interact with:

Policy on human rights

Respect for all universally recognised human rights.

Prioritisation of rights most closely linked to the business model:

Non-labour human rights

- / Respect for minorities' and communities' rights.
- / Right to personal data protection and privacy.
- / Right to health.
- / Right to freedom of opinion, information and expression.
- / Right to security of the person.
- / Contribution to the fight against corruption.
- / Right to the environment and to water.

Labour human rights

- / Forced or compulsory labour is rejected.
- / Child labour is rejected.
- / Discrimination is rejected and diversity is promoted.
- / Respect for freedom of association and collective bargaining.
- / Protecting workers' health and safety.
- / Just, fair and favourable working conditions.

The Board of Directors is the body responsible for approving the Policy on Human Rights, and is mainly supported by:

- / The Sustainability Committee, an informative and consultative body, responsible for promoting the commitment to human rights and compliance throughout the Company with the stringent policies, regulations and standards on human and labour rights.
- / The Audit and Compliance Committee, overseeing and assessing risks of all kinds, in particular those relating to human rights.
- / The Social Advisory Board, a collegiate body integrated by external independent experts, which advises the Group in human rights issues.

① More information in section [5.1.1. Good Corporate Governance](#) of this Report.

Human rights due diligence

Human rights due diligence processes are the tool we use to identify and prioritise potential negative impacts from our activity, and to develop the appropriate mechanisms to prevent, mitigate or remedy them, as appropriate. These processes are consistent with the control system defined in the **Due Diligence Policy** and in its implementing internal regulations, described in section [8.1.2. Global Compliance Model and Criminal Risk Prevention Model](#).

For these human rights due diligence processes to be truly effective, they must always be kept up to date. At Inditex, we achieve this through continuous interaction with our stakeholders and with the sustainability teams working on the ground in our supplier clusters.

Inditex's view with respect to the scope of the human rights strategy coincides with that of the Guiding Principles: it must cover the entire **value chain**. This means identifying and prioritising potential impacts so as to incorporate the findings into our activities, designing tools to prevent and mitigate them, and continuously enriching and complementing these tools. The creation of these processes involves all the key areas of the Company, such as Human Resources, Risk Management or Compliance, and they are constantly reviewed and updated.

Due to its importance, nature and scale, our **supply chain** is a priority area of our value chain in terms of respecting and promoting workers' human and labour rights. In this regard, the support and assessment of our suppliers is a core aspect of due diligence in our supply chain, informing our strategies and ensuring workers' protection and the promotion of their rights. Furthermore, our current sustainable supply chain management strategy, *Workers at the Centre 2023-2025*, is the culmination of two decades of experience and learning. The aim is to understand the needs of workers and their communities and place them at the centre of our decisions and programmes. Designed following a due diligence process conducted in collaboration with Shift in 2018 and updated in 2022, the strategy currently covers five Priority Impact Areas: social dialogue, health, living wages, respect and resilience.

① More information in section [7.2. Workers in the supply chain](#) of this Report.

Key elements for due diligence

Communication and cooperation

Our culture of collaboration as a tool for tackling complex challenges is also crucial for due diligence processes. At Inditex we constantly turn to international organisations, various NGOs and a range of initiatives to optimise the development of projects and training or to design and execute our strategies. Some of the most important organisations with which we collaborate are the International Labour Organization, the United Nations Global Compact and global trade unions UNI Global Union and IndustriALL Global Union. Special mention should be made of our partnership with Shift, the leading centre of expertise on the Guiding Principles on Business and Human Rights, with whom we conducted the due diligence exercise in 2018 that spawned the Workers at the Centre strategy and its updated version in 2022. In addition, Shift also coordinates and organises another initiative involving Inditex: the Business Learning Program, a space in which to share practices and learning in connection with fostering human rights at companies in various sectors.

Awareness and training

The Group's aim is to integrate responsible practices into all our team's decisions and actions, as well as in our relations with third parties, to ensure that human rights are always guaranteed. This is where corporate culture plays a key role. We constantly train our people and raise their awareness, as soon as they join the Group, and the same applies to our suppliers, manufacturers and other stakeholders. Moreover, in our supply chain, training on issues such as gender equality, social dialogue or health and safety is complemented by our responsible purchasing practices, which we promote through means of specific training for our purchasing teams, who have a close relationship with suppliers.

For example, in 2023, the Sustainable Fashion School has provided the commercial and design-teams with training that includes specific topics on human rights and their potential impacts related to the business model.

Respect and promotion of human rights form part of our corporate strategy, are integrated into our business model, permeate the entire organisation through our corporate ethical culture and govern our relationships with third parties, with a particular focus on the supply chain.

Grievance mechanisms

Grievance mechanisms, the third pillar of the human rights strategy, are key to improving the due diligence process, as their information helps identify potential negative impacts, and allows the Company to react and mitigate any risk in advance.

Our main grievance mechanism is the Ethics Line, which is available both to Inditex staff and to third parties with a legitimate interest. This channel enables queries and communications related to the interpretation of and compliance with the internal rules of conduct to be sent, in the strictest confidentiality and even anonymously, to the Ethics Committee so that it can analyse them and adopt any necessary measures.

Another important mechanism is the one established under the umbrella of our Global Framework Agreement with the IndustriALL Global Union federation of industry trade unions. Thanks to the Global Framework Agreement, in force since 2007 and whose fifteenth anniversary took place in 2022, we reach out to workers in the supply chain through their representatives to promote social dialogue. The aim of the Framework Agreement is to guarantee respect for human rights in the social and labour environment by promoting respect for labour standards throughout the Inditex supply chain.

① More information in section 8.1.2: *Global Compliance Model and Criminal Risk Prevention Model* of this Report and in the *Report Workers at the Centre*, available on Inditex's corporate website.

5.1.3. Responsible risk management

GRI 2-23; 2-24; 201-2; 304-2; 308-2; 3-3

5.1.3.1. Risk management and control framework

Integrated Risk Management System

Inditex's **Integrated Risk Management System (IRMS)** establishes the Group's risk management and control framework. The IRMS, based on the COSO Enterprise Risk Management (ERM)⁶ framework, covers our entire Group, both at corporate level and in the different business units and subsidiaries, regardless of their geographic location. It is incorporated in our strategic planning process, in the definition of business objectives, as well as in the Group's day-to-day operations. The IRMS comprises both financial and non-financial risks (including tax, operational, technological, cybersecurity, legal/regulatory, social, environmental, climate change, political, reputational, corruption-related and other risks). We consider risk to be any potential event, regardless of its nature, that could adversely affect the achievement of business objectives.

The **Risk Management Policy** establishes the basic principles, risk factors and the general action guidelines for managing and controlling the risks that affect our Group. The determination of this Policy is a non-delegable power of the Board of Directors, and its promotion corresponds to this body and to the Senior Management of the Group, although its implementation is the responsibility of every one of us within Inditex. Its application may be extended, in whole or in part, to any individual and/or legal person linked to the Group. The purpose of the Policy is to provide reasonable assurance in regard to the achievement of the objectives set by the Group in response to the various challenges it faces, providing all stakeholders with an adequate level of assurance to ensure the protection of the value generated.

The IRMS is based on this Policy and developed and supplemented by internal regulations of different levels that govern the management of different risks and apply to different units or areas of the Group. This system coexists with other functions responsible for monitoring specific risk areas. Other relevant risk management policies and regulations are detailed below. Our IRMS is based on the 'COSO ERM' methodological framework and the relevant ISO standards, adapted to our own needs and specific characteristics. Furthermore, special evaluation and quantification methodologies are used to tackle specific risks, particularly those relating to climate.



Bodies responsible for preparing and implementing the Risk Management System

The IRMS ensures adequate segregation of duties between the different elements that comprise, the responsibilities between the units and bodies involved in the IRMS are based on the three lines of defence model, specified below:

⁶ COSO ERM Framework, Enterprise Risk Management – Integrating with Strategy and Performance, published in September 2017 by the Committee of Sponsoring Organizations of the Treadway Commission (COSO).

Risk management

Board of Directors

Approval of the Risk Management and Control Policy, which establishes the basic principles, key risk factors and the general framework for their management.

Audit and Compliance Committee

Supervision

of the risk control and management function, verifying its operation based on the policy approved by the Board.

Assessment

of the effectiveness of financial and non-financial risk internal control and management systems, as well as the measures planned to mitigate the impact of the risks identified.

Identification and re-assessment

at least annually, of the most significant financial and non-financial risks and their tolerance levels.

Risk Map

identifying the main risks by category, and an evaluation of these in terms of their potential impact, probability and the Group's preparedness for tackling them.

Three lines of defence

1. Business units *(continuous reporting)*

Responsible for managing and reporting the risks to which the Group is exposed in their respective areas, including climate risk.

2. Risk management / Compliance function *(quarterly reporting)*

Responsible for coordinating and updating the Integrated Risk Management System to maintain the highest level of quality, coordinate the management of non-compliance risks (detailed in 8.1.2. Global Compliance Model and Criminal Risk Prevention Model).

3. Internal Audit *(quarterly reporting)*

Independently and objectively supervising the Integrated Risk Management System.

Senior Management

Awareness and education

of the importance of the Integrated Risk Management System and its value for all the Company's stakeholders.

Definition and validation

of roles, attributions, and responsibilities within the framework of the Integrated Risk Management System.

Validation of action plans

and work plans derived from the risk management process itself, and activity monitoring.

Setting the risk level

that the Company considers acceptable, based on the objectives and interests of the Company and its stakeholders.

Risk identification, assessment and prioritisation

There are uniform, standardised and systematic processes for identifying, evaluating, and prioritizing risks, based on the concepts of risk appetite, risk tolerance and risk target. The risk factors to which the Group is subject are classified into six categories, which are subdivided into lower hierarchical classifications according to their causality: financial, geopolitical, technological, environmental, social and governance risks.

The risk identification process aims to pinpoint, recognise and describe the risks that may prevent the Company from achieving its objectives. The identification is based on the best available information, taking as a fundamental basis the knowledge and expertise of the areas directly responsible for risk management, supplemented, if necessary, with relevant external sources. Emerging risks are also considered, i.e., those new risks that are in the process of transformation or are a novel combination of risks, whose impact, likelihood of occurrence and cost are not yet well understood. In any case, the geographical scope or dimension of the risks is considered and evaluated, especially those particular to certain geographies and those related to climate.

Risk criteria must be set by Senior Management, based on the Group's objectives and interests, as well as those of our various stakeholders, and are updated periodically. Risks are assessed in terms of residual risk, i.e., the risk remaining after taking mitigation actions.

The assessment considers three magnitudes for each risk: impact, likelihood of occurrence and level of preparedness. The Risk Management department periodically (at least annually) asks the different risk management units to assess and review the different risks and the mitigation and adaptation measures implemented and planned through a

system of interviews and questionnaires. In general, risks are assessed on a one-year time horizon, although, for some risk categories, particularly environmental risks such as climate risk, short, medium and long-term time horizons are considered. A risk register is kept, represented in a risk map, evaluated according to their total impact (strong, high, moderate and minor risks). The map is periodically reported to the Board of Directors and contains the critical risks, meaning those which, if they 'were to materialise' could jeopardize the achievement of our strategic objectives.



Enterprise risk management and control framework

Impact

Effect that a risk would have if it were to materialise. Risk managers consider the worst possible impact scenario for the materialisation of the risk and assess the impact on each strategic objective based on their own calculations, except for the 'Corporate image and reputation' variable, for which they use a standard questionnaire. To obtain the total risk impact assessment, the result of the variable with the highest impact is considered and increased according to the other affected variables on a weighted basis.

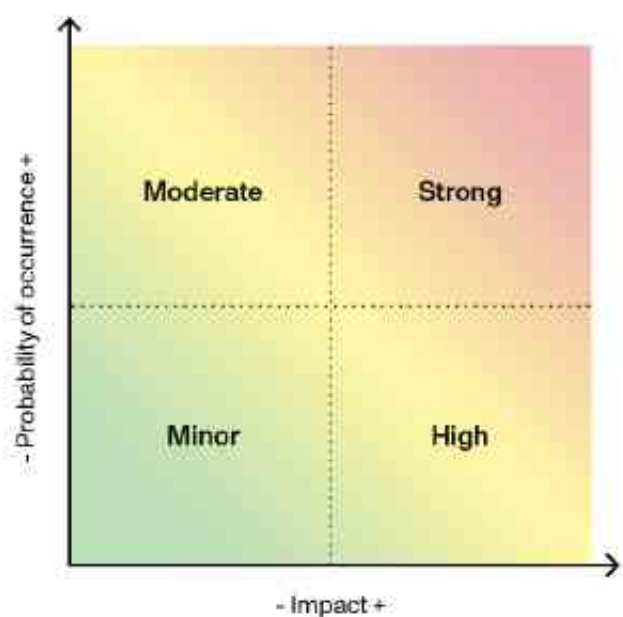
Likelihood

Risk managers consider an average scenario to assess the probability of occurrence. The estimated probability of the risk materialising is assessed taking into account the track record of the past five years as well as the one-year expectations. The different possible scenarios are documented in terms of impact and likelihood of occurrence.

Preparation

The level of preparedness is assessed using a questionnaire on aspects related to response capacity, existing mechanisms and controls, scenario analysis and contingency plans.

These assessments are transferred to the tolerance scales defined by Senior Management for each of the variables to obtain the total impact level. Currently, different thresholds are evaluated for the following financial variables: change in sales, change in gross margin, change in net profit and change in cash flow generated from operating activities.



For the assessment of climate change related risks, we also use methods aimed at the financial assessment of physical (acute and chronic) and transitional risks in the short, medium and long term using a **scenario methodology**.

① More information in section 6.1.5. *Risks and opportunities arising from climate change* of this Report.

The Group is currently in a process of progressive transition in the measurement of critical non-climate related risks, from an impact, likelihood of occurrence and level of preparedness methodology to a scenario methodology.

Each scenario is analysed considering increasing levels of severity to simulate its likelihood of occurrence, its temporal evolution, its recovery curve and its aggregate and disaggregated impact. The purpose is to calculate 'Earning Value at Risk' over a five-year time horizon discounted to obtain its present value. This enables the Group to assess risks in intrinsic and residual terms, once risk mitigation and transfer measures have been taken into account. This method corresponds to the process of evolution and development of the IRMS.

5.1.3.2. Risk map

The risk map represents the inventory of critical risks for the Group. There are also maps for specific risk categories that offer greater granularity.

Critical risk map

	# Risks	Strong	High	Moderate	Minor
Social	4	25%	50%	25%	0%
Financial	8	50%	0%	50%	0%
Geopolitical	3	33%	33%	33%	0%
Governance	9	44%	11%	11%	33%
Environmental	4	50%	0%	25%	25%
Technology	5	20%	60%	20%	0%
Total	33	39%	28%	28%	7%

The main risk factors are described below, as well as their main mitigation measures and the trend with respect to the previous year.

SOCIAL RISKS

Risks arising from socio-economic trends, including evolving societal preferences, social standards and demographics, as well as the prevalence of diseases and the development of public healthcare systems.

Main risks	Description and impact	Main mitigations	Risk trend
Human capital	Risks connected to talent and people management are related to the need to adapt our organisational culture to the needs of the employees derived from a new and complex environment, where the sustainability of human capital becomes more relevant and which seeks to ensure the quality of employment, the health and well-being of employees, work-life balance, and diversity, among other factors. Today's labour market is becoming increasingly demanding in terms of corporate social responsibility, which determines a company's appeal as a preferred employment destination. Accordingly, the content and impact of human capital risks are evaluated every year. Furthermore, we are more exposed to the potential risk resulting from the shutdown of critical operational processes (logistics activity, transport, administrative services, among others) as a consequence of labour disputes, strike action, riots or protests that curb or disrupt corporate productivity.	/ Knowledge transfer and the involvement of all our people in our culture and way of operating. / Team development as a whole, growth opportunities for the most talented people and retention of key employees through professional development, training and compensation policies. / Recruitment of new staff to ensure a continuous inflow of talent. / Measures to develop the Diversity and Inclusion Policy. / Development of equality plans, establishing measures to promote the commitment to and effective application of equality between men and women, preventing discrimination in the workplace, guaranteeing a healthy working environment and helping to maintain a work-life balance. / Implementation of community programmes and projects. / Promoting social dialogue at all levels. ① More information in section 7.1. Our people of this Report.	

Main risks	Description and impact	Main mitigations	Risk trend
Infectious and contagious diseases	This category includes the risks posed by infectious and contagious diseases. It corresponds to the potential disruption caused by a local, regional or global pandemic as a result of infectious diseases against which there is little or no pre-existing immunity in the human population. As Covid-19 has taught us, the impacts of a pandemic can be multiple, unpredictable and of varying intensity, both in time and scope. They can become systemic because of how their consequences manifest.	/ Set an information system to ensure better knowledge of the guidelines issued by public authorities and bodies. / Mechanisms aimed at guaranteeing the continuity of our operations. / Flexibility of the business model and strengthening of the online channel. ① With regard to the impact and the mitigation measures, see section 5.1.3.3. Risks that materialised over the course of the year of this Report. / Maintenance and updating of measures established by the health authorities: creating emergency management committees, collection of data on the epidemiological situation, regular information to employees, installing protective screens in workplaces, adapting capacity, etc. ① More information in section 7.1.7. Health and safety of this Report.	↓
Brand perception	Risks which have a direct influence on the perception of stakeholders (customers, employees, shareholders and suppliers) and society in general regarding our Group.	/ Monitoring of the Group's image in all areas, conducted by various departments, including Communications and Institutional Relations. / Set the necessary procedures and protocols by the Communications and Institutional Relations. / Management of the relationship with regulatory bodies by the General Counsel's Office – Compliance. Investor and Analyst Relations Management by the Capital Markets Department. / Code of Conduct. / Code of Conduct for Manufacturers and Suppliers. / Policy on Official Internet and Social Networks Accounts and Profiles. ① More information in sections 5.3.1. Stakeholder engagement and 8.1. Corporate ethical culture and solid Compliance architecture of this Report.	↑

FINANCIAL RISKS

Threats originating in the macroeconomy, global value chains and in industry, or company-specific events that may prevent the proposed objectives from being achieved.

Main risks	Description and impact	Main mitigations	Risk trend
Competition	The competitive environment may result in risks from difficulties in adapting to the environment or market in which we operate, either in the procurement processes or in the distribution or sales. This aspect is inherent to the fashion retailing business and consist of the possible inability of our Group to follow and respond to changes in the target market or to adapt to new situations in its sourcing or distribution countries. These risks derive from the possible difficulties involved in recognising and taking on board the ongoing changes in fashion trends, and in manufacturing, supplying and selling new articles that meet customer expectations.	/ Business model through management that seeks to improve the efficiency and effectiveness of markets, business lines and stores, rationalising and diversifying the commercial network. / Internationalisation Strategy. / The Group's multi-brand format based on omni-channelling, through the full integration of channels and new technologies as an alternative in terms of communication and sales. / Feasibility analysis of each new market, business line or store, plus subsequent follow-up. ① More information in sections 3. Inditex at a glance and 5.2. Strategy of this Report.	→
	Competition may also emerge in the infringement of industrial and intellectual property.	/ Existence of an Industrial Property (IP) Department to supervise the use of industrial and intellectual property rights and to protect the Group's IP assets, as well as dedicated teams within the commercial areas. / Industrial and intellectual property training. / Industrial and Intellectual Property Product Control Policy. / Code of Conduct.	→
Third-party	The Group is exposed to counterparty risk from our suppliers of goods and services, especially those that are more strategic for the continuity of our operations, as well as from our customers and business partners, which could impact the normal performance of some of our operations. The Group is also exposed to the risk that financial counterparties fail to comply with their obligations in relation to investing our liquidity, credit facilities or other funding and guarantee vehicles, as well as the derivative instruments to hedge financial risks.	/ Analysis and monitoring of the financial solvency of the most important third parties for the Group, including legal, technological, operational, reputational and regulatory compliance aspects, among others. / The Group Financial Investment Policy, whose aim is to ensure the safety, integrity and liquidity of the Company's financial assets. / Financial Risk Management Policy, which determines the maximum exposure limits in terms of counterparty. / Flexibility and diversification of the value chain ensure the resilience and continuity of our operations in the event of potential disruptions derived from third party behaviour. / Creation of the Third-Party Risk Management area. ① More information in section 8.3. Supplier relations of this Report.	↑

Main risks	Description and impact	Main mitigations	Risk trend
Market crisis	The euro is the Group's functional currency. Our international transactions require the use of numerous currencies, which gives rise to foreign currency exchange risk. Currency exposure emerges in terms of net investment, translation and transaction risks. We have investments overseas whose assets are exposed to the foreign currency exchange risk. And given that we consolidate the annual accounts of our companies in euros, we are exposed to foreign exchange translation risk resulting from all our entities located outside the Eurozone. We are also exposed to the risk arising from the volatility in currencies other than the euro of payment and collection flows in relation to the acquisition and provision of goods and services in both Group and non-Group transactions.	/ Financial Risk Management Policy. ① More information in note 26. Financial instruments and risk management policy of the Consolidated Annual Accounts.	→
	Supply and distribution shipping is critical to our business. There is a risk of stoppage or delay in the movement and customs clearance of goods as a result of changes in the political/social situation and stability in markets where goods are produced and sold, regulatory changes, trade frictions—whether tariff or non-tariff related, and saturation of logistics infrastructures, among others.	/ In-house teams specialised in market customs regulations, which are in permanent contact with customs agencies. / Diversification of shipping points and establishment of alternative routes. / Continuous tracking of the product until it arrives at the store. / Monitoring of relevant regulations and regulatory changes.	→
Economic outlook	Our activity is subject to the risk of a potential downturn in sales as a result of economic contraction or other macroeconomic headwind generated by external factors.	/ Flexible business model based on multi-brand omni-channelling. / Territorial diversification through internationalisation strategy. ① More information in sections 3. Inditex at a glance and 5.2. Strategy of this Report.	→

Main risks	Description and impact	Main mitigations	Risk trend
Economic variables	The Group is exposed to the risk of inflation affecting costs linked to the acquisition of the goods and services necessary to conduct our business. It is worth noting the impact of the increase in the price of the multiple raw materials, (textile and non-textile) consumed directly and indirectly in our operations, and in the procurement of goods, primarily of our products and services, particularly in relation to the transportation of supplies and distribution. ① More information in note <i>26.Financial instruments and risk management policy</i> of the Consolidated Annual Accounts and in section <i>6.4.2. Design and selection of materials</i> of this Report.	/ Flexibility of the manufacturing and procurement model, allowing production to be adapted to market demand and to possible changes in the supply market environment. / Permanent contact between stores and online teams with our team of designers, through the Product Management department, helping them to learn about customer preferences. / Selective price adjustments to safeguard our margins. / Vertical integration of operations that enables to shorten production and delivery times and to reduce inventory volumes, while maintaining the ability to introduce new products throughout the season. / Monitoring of raw material markets and strategic promotion of circularity and recycling of raw materials. ① More information in section <i>5.2. Strategy</i> of this Report.	↓

GEOPOLITICAL RISKS

Geopolitical risks arise from a deterioration in the political situation, a society's crime levels, changes in the ideology, leadership and regulation of its authorities, politically motivated conflicts at home or between nation states that threaten operations or expected prospects.

Main risks	Description and impact	Main mitigations	Risk trend
Business environment and political instability	Potential instability in the territories where our supply chain is located, as well as where products are marketed, represents a significant risk. Socio-political instability arising from social uprisings or other causes of political violence, as well as their potential spread to other countries, may affect our ability to operate in affected territories, with the consequent impact on value chains, sales and expansion, or damage to our facilities. These circumstances may result in frictions that hinder the normal movement of goods due to political instability, infrastructure saturation, or constraints, especially on key routes, which generate bottlenecks due to mismatches between supply and demand that limit access to transport and/or erode business margins.	/ Value chain with multiple geographic origins, providing the necessary flexibility and adaptation to demand, guaranteeing alternatives to the eventual need to switch between different manufacturing markets in the event of continued severe disruptions. / Points of sale diversification. / Country risk monitoring and proximity to local markets. / Continuous analysis of the evolution of the conflict and its complex implications, implementing plans to mitigate its impact, especially in relation to its workforce in the affected markets. ① More information in sections <i>3. Inditex at a glance</i>, <i>5.2. Strategy</i> and <i>8.3. Supplier relations</i> of this Report.	→

Main risks	Description and impact	Main mitigations	Risk trend
Government and business policies, and regulatory framework	As a result of our extensive direct and indirect geographic presence, we are exposed to multiple and heterogeneous legislation in the countries where we operate. Regulatory changes, which are increasingly frequent and more intense, especially in our industry, as well as the possibility that local authorities might adopt different or even divergent interpretations in various jurisdiction, expose the Group to potential negative effects of a financial, compliance and/or reputational nature. This includes risks relating to labour, commercial and consumer law, industrial and intellectual property law, and personal data protection and privacy regulations, with particular relevance on tax and customs regulations, as well as risks relating to other legislations. Expectations of significant regulatory or policy changes that may create uncertainty for the normal development of the business model and require a financial and operational planning to ensure proper adaptation.	/ Systematic monitoring of the impacts and risks of emerging regulations that affect the business model and the proposal of operational solutions. / Business model based on a firm commitment to good governance, transparency and respect, aimed at promoting social and environmental sustainability, and spreading a corporate ethical culture in the performance of all our activities. / Continuous Compliance training. / Existence of an independent body that supervises compliance with the Internal Regulations of conduct (Ethics Committee) and a mechanism to report irregularities and non-compliances (Ethics Line). / Implementation of the model for the organisation, prevention, detection, control and management of legal and reputational risks, arising from potential non-compliance. / Policy on Donations and Sponsorships, Policy on Gifts and Invitations, and Policy on Dealings with Public Officials. / Tax Policy. / Anti-Money Laundering and Terrorist Financing Policy. / Continuous assessment of the corporate governance system in order to verify its degree of compliance with and adaptation to new legislation, recommendations, standards and best practices in this respect, and to systematically reinforce good corporate governance practices. ① More information in sections 8.4. Tax responsibility and transparency and 8.1. Corporate ethics culture and solid Compliance architecture of this Report.	→

GOVERNANCE RISK

Governance risk includes non-compliance by the Company and, in particular, by its Board of Directors and Senior Management, with the law in a formal and/or material sense, with good governance recommendations, best practices, as well as the commitments that we voluntarily undertake. It also includes risks arising from the tactical and strategic decisions of the Group's management that may result in the non-achievement of business, functional area or Group objectives, as well as risks of corruption or damage to the Company's reputation.

Main risks	Description and impact	Main mitigations	Risk trend
	Risks related to potential failure in the commercial offer by not anticipating trends, not being able to react and respond to changes in market trends, not providing sufficient supply to stores or not being able to continue to stand out from competitors.	/ Agility and flexibility of the business model. / Qualified teams focused on identifying the product demanded by the market and ensuring adequate supply management. / Availability of reliable data, with the necessary frequency and level of detail, providing information on the adequacy of supply to market demand. / Linking up with customers through social media and existence of different points of contact to capture tastes and expectations (stores, online sales). / Sourcing in proximity allowing a quick response to customer demand. ① More information in section 5.2. Strategy of this Report.	→
Business model implementation	Risk of concentration of logistics operations (procurement, storage and distribution) in a limited number of distribution centres, both own or operated by third parties, located across Spain.	/ Logistics Hub in the Netherlands. / Use of smaller logistics centres located in other countries and operated with third parties which conduct variable scale distribution operations. / Implementation of our WMS (Warehouse Management System) in all external logistics operators to ensure full operability and compatibility with our systems. / Our RFID and SINT (Integrated Stock Management System) programmes have been implemented in all retail formats. / Logistics Expansion Plan, which assesses the need and contemplates new investments if required. ① More information in section 5.2. Strategy of this Report.	↑

Main risks	Description and impact	Main mitigations	Risk trend
Non-Compliance	The Group is exposed to the risk of non-compliance with its Policy on Human Rights and other regulations we have established in this matter. In particular, non-compliance with our Code of Conduct for Manufacturers and Suppliers, defined as the minimum standards of ethical and responsible behaviour to be observed by the manufacturers and suppliers of the products we market. Furthermore, the demand for ESG (environmental, social and governance) behaviour in the fashion industry is increasing and is based on traceability and transparency.	/ Mandatory compliance with the Code of Conduct for Manufacturers and Suppliers by all those who wish to become part of the Group's supply chain. / Code of Conduct for Manufacturers and Suppliers compliance programme through different types of audits of the facilities required for production. / Ethics Line and Ethics Committee (also responsible for the application and interpretation of the Code of Conduct for Manufacturers and Suppliers). / Traceability strategy based on a management system whereby each supplier is required to know and share its supply chain data and report the facilities involved in the productions, and an verification process that confirms that production takes place in declared and authorised factories. / The Group's commitment to transparency. We share information with our stakeholders concerning our sustainability strategy, the programmes on which is it articulated, our objectives and their progress, among other topics. One of our main purposes of being transparent is the annual reporting that we conduct through this Statement on Non-Financial Information, or the information that we regularly disclose on our website. ① More information in sections 5.1.2. Human Rights due diligence, 8.1. Corporate ethical culture and solid compliance architecture and 8.3. Supplier relations of this Report and section F.1.2. of the Annual Corporate Governance Report.	

Main risks	Description and impact	Main mitigations	Risk trend
Non-compliance	Our Group faces the risk of non-compliance with the law in a formal or material sense, with good governance recommendations, best practices or voluntary commitments. In this regard, there is a risk of non-compliance with voluntary commitments that have been publicly undertaken, especially in the area of sustainability, which exceed regulatory requirements.	/ Global Compliance Model. / Criminal Risk Prevention Model, comprising the Criminal Risk Prevention Policy, the Criminal Risk Prevention Procedure and the Criminal Risk and Control Matrix. / The main policies approved within the framework of the Criminal Risk Prevention Model are as follows: Policy on Donations and Sponsorships, Policy on Gifts and Invitations, Policy on Dealings with Public Officials, Conflicts of Interest Policy, Anti-Money Laundering and Terrorist Financing Policy, Due Diligence Policy and the Procedure for Limiting Trade Relations with Suppliers in Restricted or Unauthorised Markets. / Ethics Line and Ethics Committee. ① More information in section <u>8.1.2 Global Compliance Model and Criminal Risk Prevention Model</u> of this Report.	→
	This includes risks related to tax, customs, anti-corruption and bribery, labour law, commerce and consumption-related regulations, industrial and intellectual property regulations and risks relating to other types of legislation, in particular criminal regulatory risks, as well as other regulatory compliance risks.	/ Data protection and privacy compliance model, considering the Compliance Policy Regarding Data Protection and Privacy as the basic rule. ① More information in section <u>8.2.2. Personal Data Protection and Privacy of this Report</u>. / Annual assessment of the Corporate Governance System in order to verify its degree of compliance and adaptation to new legislation, recommendations, standards and best practices in this respect, and to systematically reinforce good corporate governance practices. / Regular supervision by the Audit and Compliance Committee of the existence of possible conflicts of interest or transactions with/among related parties, contrary to the interests of the Company and/or its stakeholders. / Quarterly monitoring by the Sustainability Committee, of the progress on the commitments undertaken.	
Products and services	We are exposed to risks related to the quality, composition and other health and safety aspects of our products.	/ Performing controls and verifications of product health and safety standards and detailed manufacturing guidelines through the Clear to Wear programmes: Product Health Policy and Safe to Wear: Product Safety Policy. ① More information in sections <u>6.4.3. Health and safety of products</u> and <u>8.3. Supplier relations</u> of this Report.	→

ENVIRONMENTAL RISKS

Risks associated with natural disasters, climate change and the interactions resulting from human exploitation of the environment.

Main risks	Description and impact	Main mitigations	Risk trend
Climate change	Our performance is exposed to the potential impacts of climate change in its different manifestations of physical risk, whether chronic or acute, as well as to the risks resulting from the transition to a low-carbon economy. For physical risks, seven climate phenomena are taken into consideration: heatwave, freeze, river flooding, coastal flooding, 'temperate' and tropical storms and water stress in the river basins where our own or third-party facilities are located.	/ Decarbonisation is one of the main pillars of our Sustainability Roadmap, in line with the goals of the Paris Agreement. We have set very ambitious decarbonisation targets for our business and for our industry as a whole. / Section 6.1.5. <i>Risks and opportunities arising from climate change</i> focuses on this risk under the Task Force on Climate-related Financial Disclosures (TCFD), to which the Group adhered in June 2020. ① More information in sections 6.1.3. <i>Emissions of GHG of scopes 1, 2 and 3</i> and 6.1.5. <i>Risks and opportunities arising from climate change</i> of this Report.	→
Environmental degradation and Scarcity of natural resources	There is a risk of producing adverse effects on the environment through the release of undesirable or hazardous substances (whether biological or chemical) throughout our value chain. There is also a risk that our activities may result in negative externalities such as the loss of biodiversity, deforestation, soil degradation, or scarcity of raw materials, especially those that meet our sustainability requirements, among others. There is a need to ensure sufficient and reliable supply of lower-impact raw materials, known as preferred raw materials, to meet our sustainability commitments.	/ The Sustainability Policy sets out, among others, the environmental commitments, which are applied transversally across all its business areas and throughout the supply chain. / Environmental strategies: Biodiversity Strategy, Global Water Management Strategy and Global Energy Strategy. / Forest Product Policy. / Commitment to clean energy, lower-impact raw materials and the implementation of circularity services such as Zara Pre-Owned in key markets. / Implementation of waste management systems with strict operating requirements to allow us converting waste generated at our facilities into resources available for reuse or recycling. / Forwarding for reuse and/or recycling of the packaging materials arriving at our facilities. / Research and development of new materials and production processes with a lower impact through the corporate platform Sustainability Innovation Hub. / Collaboration projects with third parties in the field of circularity and innovation (MIT Spain, Ellen MacArthur Foundation, Global Fashion Agenda, Euratex, etcetera). / Application of the Green to Wear standard in the supply chain. ① More information in section 6. <i>Environment</i> of this Report.	→

Main risks	Description and impact	Main mitigations	Risk trend
Extreme weather events	As a result of natural disasters such as floods, fires, earthquakes, etc., key business operations and shipping processes could be halted. These events could potentially affect our critical infrastructure.	Management of these risks, including mitigation measures and resilience plans, is discussed in the section on industrial accident risks. Section 6.1.5. Risks and opportunities arising from climate change includes a sub-section concerning the physical climate impact on the Group's value chain.	→

TECHNOLOGY RISKS

This includes targeted cyberattacks, collapse of critical infrastructure, industrial accidents with direct or indirect impacts, as well as the inability to adapt to technological advances.

Main risks	Description and impact	Main mitigations	Risk trend
Critical infrastructure	We are exposed to the risk arising from various contingencies (incidents, sabotage or accidents) that lead to a halt or operational inefficiency of IT services or processes needed to perform the business activity.	/ Ensuring the availability of the systems by deploying technical contingency plans which, together with associated technical recovery procedures and their relevant recovery testing, would reduce the consequences of an incident, breakdown or shutdown. / Tier IV certified main data centre, which guarantees maximum reliability and high availability. / Availability of certified data centres guaranteeing high availability as well as synchronous data storage in redundant locations or duplication of equipment and lines. / Information Security Procedure: Incident Response Plan, which includes the management of incidents involving personal data from the point of view of compliance with personal data protection and privacy regulations. 📌 More information in section 8.2. Information security and privacy of this Report.	→

Main risks	Description and impact	Main mitigations	Risk trend
Cybersecurity	This refers to exposures that could compromise the continuity of operations and/or the confidentiality, integrity and/or availability of our information, regardless of whether it is located in our own systems or those of third parties; and third parties' information located in our systems. We are aware that technological risks evolve exponentially, unpredictably and, in some cases, in a very sophisticated way. Thus, although information security is a priority, there is the possibility of an undetectable attack which might affect operations or information managed by us.	/ Existence of a Chief Information Security Officer (or 'CISO'), reporting directly to the Chief Executive Officer. / Creation of a Cybersecurity Advisory Committee, composed of independent experts, with the aim of reinforcing the Group's cybersecurity decision-making. / Availability of a reference framework (Information Security Policy) aimed at ensuring the confidentiality, integrity and availability of information. / Permanent control of the Information Security Management System to ensure confidentiality and integrity of information and uninterrupted development of the operations through the Information Security Department and with the support of the Information Security Committee. / Continuous review mechanisms, by the Information Security department, evaluated by internal and external audits, for the prevention, detection and response to cyberattacks. / Updating the inventory and technology and information security risk map to establish the necessary mitigation measures and ensure continuous improvement by the responsible areas. / Development of a strategic plan with international experts in order to maintain and improve the maturity of the Information Security programme. / Insurance policies to cover loss of profit, expenses arising from the attack and the Company's civil liability for damage caused to third parties. / Compliance with Payment Card Industry Data Security Standard (PCI-DSS) and ISO/IEC 27001 certification for Information Security. / Certifications required within international regulatory frameworks, such as the K-ISMS⁽¹⁾ in South Korea and the MLPS⁽²⁾ in China. / Awareness and skill-building through employee cybersecurity training. / Procedure on Information Security Incident Response, which includes the management of incidents involving personal data from the point of view of compliance with data protection and privacy. ① More information in section <u>8.2. Information security and privacy</u> of this Report. (1) K-ISMS is South Korea's information security management system. This standard is managed by the Korean Internet and Security Agency (KISA). It was prepared to evaluate whether enterprises and organisations operate and manage their information security system consistently and securely such that they protect key information assets from various threats. (2) MLPS is the multi-layer protection scheme. It is a regulatory classification scheme intended to protect the security of information systems located in China. China's Cybersecurity Law requires the network and system components to be protected against disruptions, damage, unauthorised access using a graded scale to prevent data leakage, manipulation and espionage.	➔

Main risks	Description and impact	Main mitigations	Risk trend
Industrial accident	We face the risk of business interruption associated with the possibility of extraordinary events beyond our control (fires, transport or key supplier strikes, interruptions in energy and fuel supplies, etc.), which could significantly affect the normal functioning of our operations. The main risks of this type are concentrated at logistics centres and third party operators transporting goods.	/ Actions to reduce exposure to this type of risks, maintaining high levels of prevention and protection at all the distribution centres. Existence of insurance policies that cover both property damage and loss of profit resulting from the incident. / Optimisation of the scale and use of all logistics centres according to the volume of each retail format and the specific needs of the geographic area they serve. / Configuration of the logistics centres in a way that they can assume the storage and distribution capacity of other facilities in the event of a contingency caused by accidents or stoppages in distribution activities. / Logistics Expansion Plan, which assesses the need and envisages new investments if necessary. Phasing-in application of Radio Frequency Identification (RFID) technology in the value chain and development of new mobile robotics technologies. / Search, validation and control of external logistics operators, at different strategic points, with full integration into the Company's logistics capacity. / Diversification of shipping suppliers. ① More information in section 5.2. Strategy of this Report.	↑
Disruptive technology	We are aware that technological innovations and evolutions in a broad sense, both in customer interaction through the development of a satisfactory omni-channel experience, as well as the improvement of all operating and business processes, are essential to ensure fulfilment of our strategic objectives. The digital transformation process, which is paramount to ensure our competitiveness, is gaining pace due to the emergence and implementation of new technologies such as Artificial Intelligence and its application to the automation and optimisation of existing processes, or its transformative application in other fields.	/ Digital transformation and the promotion of digitalisation as a key transformation tool are evident throughout all our Group's operational and business processes. Digitalisation allows a more agile, efficient and accurate management of our operations, from logistics through to in-store operations. It also facilitates sales growth by integrating channels. It ensures immediate availability and accessibility of business data, obtained thanks to our full integration, with the purpose of continuing to speed up decision-making processes, manage inventory more efficiently and improve customer services service levels. / Digitalisation is key to the development of our sustainability strategy since, among other things, it makes it possible to manage supply chain traceability, allowing us to compile sustainability information. / Regarding people management, our digital vocation has enabled us to continue improving our operations, from recruitment processes to hiring. Digitalisation is critical when it comes to our team's communication and training across the world. ① More information in section 5.2. Strategy of this Report.	→

Main risks	Description and impact	Main mitigations	Risk trend
Disruptive technology	The governance, availability, quality and value of the information generated in the development of our activities is increasingly becoming a competitive advantage and is essential for the normal function of the business. This information could be from different nature: transactional and operational, financial-accounting, management, budgeting and control information. We ensure the protection of information, regardless of how it is communicated, shared, projected or stored. This protection affects both the information inside the Group and the information shared with third parties. The emergence of disruptive technologies like Artificial Intelligence will be fundamental in this area of risk.	/ Periodic review of the management information distributed to the different managers, and investment, among other areas, in information transmission systems, data analysis and intelligence for decision-making and process optimisation, business monitoring and budgeting. / Different areas across the Group, especially Planning and Management Control and Administration, which report to the Finance Area, are directly responsible for generating and supervising the quality of the information. The Information Security department is responsible for ensuring that this information is accessible and/or modified only by authorised personnel, to guarantee the reliability, confidentiality, integrity and availability of critical information. / Procedure on Information Security Incident Response, which includes the management of incidents involving personal data from the point of view of compliance with data protection and privacy. ① More information in section 8.2. Information security and privacy of this Report. / Establishment of an Internal Risk Management and Control System in relation to the process of issuing financial information (ICFR), in order to continuously monitor and evaluate the main risks associated that allow to reasonably ensure the reliability of the Group's public financial information. ① More information in the Report on Internal Control on Financial Reporting (ICFR) systems. / Ensuring the reliability of the non-financial information supplied to the market through an internal control on non-financial reporting (ICNFR) system. / The Consolidated Annual Accounts and those of all the relevant companies, as well as the Statement on Non-Financial Information, which forms part of the Management Report, are subject to independent verification by the external auditors. For the most significant companies, the external auditors are asked to make recommendations on internal controls. ① More information in section 10. Independent Verification Report of this Report.	↑

5.1.3.3. Risks that materialised over the course of the year

During this year, the macroeconomic and geopolitical environment remained uncertain and challenging. The Group ceased operations in the Russian Federation after the sale of our business in the country to the Daher Group. Operations in Ukraine remain suspended at the time of preparation of this report, although they are scheduled to be gradually reopened from April 2024.

① More information in [note 33](#) of the Consolidated Annual Accounts.

The conflict in the Middle East significantly worsened the business environment. The Middle East concentrates an important part of the Group's commercial activity. After the outbreak of hostilities, sales in the affected territories suffered temporarily, although operations have gradually returned to normal. So far, the main impact of the instability in the Middle East has to do with the effects on the transportation flows through the area between Asia and Europe. At the time of writing this Report, most of the container vessels from Asia carrying our goods, which normally pass through the Suez Canal, are making their way around continental Africa. As a result, average transit times have been extended by around one week, although, for the time being, there seems to be no risk of disruption to transport chains and no lack of availability of vessels and/or containers. Shipping costs may have risen as a result of higher fuel consumption and the extraordinary cost overruns. Our operations have not been significantly impacted by this situation so far.

Depending on the duration and severity of the tensions in the Middle East, transportation disruption might end up having other repercussions, from affecting other means of transport, to unforeseen increases in hydrocarbon prices that could contribute to a possible spike in inflation.

During the year many markets continued to experience very significant inflationary processes, although as the interest rate cycle normalised prices began to moderate, while remaining far from central banks' target levels. The costs of some goods and services that make up our value chain have not yet returned to their pre-inflationary levels. Some markets have experienced pressure on labour costs as a result of the aforementioned inflationary process and also due to employment misalignments.

In this context, our cost control has continued to be systematic and rigorous. Regarding the economic environment, the normalisation of monetary policies aimed at combating inflation has not caused contractions or sudden decelerations. However, in many of the markets where we operate the economic outlook shows some fragility. There is considerable uncertainty regarding the potential economic performance and its impact on consumption.

The Group has franchised its operations in Argentina and Uruguay through an agreement with the Trade Alliance Holding Corp Group. These two markets are now operated as franchises, thus assimilating the management model chosen in most of Latin America.

The economic and geopolitical environment has generated instability and volatility in financial markets. Foreign exchange risk has been particularly concentrated on US dollar and Turkish lira. During 2023, fluctuations of non-euro currencies had a negative impact on the Company's sales growth and a slightly positive impact on the cost of goods sold. Foreign exchange rate risk continued to be pro-actively managed in accordance with the Group's guidelines based on centralized management, operational optimisation of foreign exchange exposures, maximising the benefit of diversifying the risk portfolio and monitoring risk continuously.

Although the Group has a solid cash position, measures have been intensified to guarantee and safeguard the Company's liquidity. The Group also has external sources of financing through credit facilities, mostly committed, totalling 8,155 million euros.

Over the course of the year, our activities were affected by various natural disasters, from extreme weather events in Europe and Asia to earthquakes like the one that struck Japan, affecting some of our points of sale. Nevertheless, the impact of these events was not material in terms of either disruptions to our operations or economic losses at a Group level.

① More information in [note 21](#) of the Consolidated Annual Accounts.



5.2. Strategy



5.2.1. Business model and strategy

GRI 2-1; 2-6; 2-23

The Inditex Group is a family of different commercial brands: Zara, Pull&Bear, Massimo Dutti, Bershka, Stradivarius, Oysho and Zara Home. All of them share the same purpose: to offer our customers an inspiring, quality and responsibly produced fashion proposal.

Inditex is present in 213 markets, with a low share in the majority of them and in a highly fragmented sector, meaning that its growth opportunities are excellent.

Our fashion distribution and sales activity is carried out through an international group of companies, the Inditex Group, whose parent company is Industria de Diseño Textil, S.A. (Inditex, S.A.), which is listed on all four Spanish stock exchanges. Details of the corporate structure at 31 January 2024 are provided in *Annex I* of the Consolidated Annual Accounts of the Inditex Group.

① Detailed information on the markets in which Inditex operates can be found in the *Consolidated Directors' Report*.

Our unique business model, which covers all the stages including the design of our products and their sale in our stores and online platforms, has enabled us, in just a few decades, to turn a small sewing workshop in A Coruña into one of the most relevant players in fashion retail in the world, grounded **on four solid pillars**.

The first of these is our ability to offer a **fashion proposal**, built on creativity, innovation, emotion, quality and, above all, on permanently listening to the needs and wishes of our customers. Our commercial brands excel in their capacity to adapt and respond to any change in the market or the irruption of any new trend, thanks to our fine-tuned production processes, with short runs that are fully adapted to demand. The importance of production in geographical areas close to our headquarters in Spain is key for us, as it allows us to prioritise flexibility and efficiently control the entire production process.

Moreover, at Inditex, we constantly strive to give our customers access to that fashion proposal through an **increasingly engaging shopping experience**, whether in our more than 5,600 stores or through the online channels of the Group's brands. We pride ourselves on having retail spaces in prime locations in the heart of the world's major cities. We rely on spacious stores fitted with the most innovative technological tools to offer the customer a unique and integrated experience with online platforms. The unique inventory system that allows a streamlined response to the market is only possible thanks to the excellent work of our teams and the continuous improvement of our logistics systems.

The key factor that explains the performance of our business model is the **extraordinary team** that makes it all possible. Inditex is made up of 161,281 passionate and curious people who are driven by the desire to excel and grow every day, regardless of their professional task or specific market. Our aim is to help all of our people develop their full potential as part of a diverse, creative and innovative team. We see our company as having a character of its own, in which attributes such as humility, ambition, high levels of individual responsibility, a sense of belonging and teamwork are not platitudes, but tangible realities that permeate everything we do and underpin the commitment of all our employees.

The fourth pillar on which our business model rests is **sustainability and responsibility**, the way we see our activity and our relationship with the surrounding environment. Inditex, which was launched with the aim of creating quality fashion and design at an attractive price, has had a comprehensive sustainability strategy since 2001, when we became one of the companies adhered to the United Nations Global Compact.

At Inditex we firmly believe in our capacity to act as an agent of change within the fashion industry and we are making remarkable efforts to reduce the environmental impact of our activity, progressing towards a circular model where waste becomes resources. Our sustainability action plan is enabling us to achieve more ambitious targets each year, such as the increasing use of preferred fibres and materials⁷ in line with our recently updated sustainability objectives, to reach our goal of net-zero emissions by 2040.

Our developments in sustainability would not be possible without an equally firm commitment to innovation and research, either through our Sustainability Innovation Hub, the platform with which we are continuously seeking the best materials, approaches and processes, or through start-ups, scientific institutions and third-sector organisations that have become our partners of reference, with whom we have pledged to collaborate and invest.

Transversal and collaborative innovation

Innovation is one of the transversal axes on which the four pillars of our strategy are aligned.

Through innovation, every day we aim to be **more creative, agile, efficient and respectful** in our interactions with our customers and our surrounding community alike. And, needless to say, **we strive to hone the customer experience and strengthen customers' trust** every time they choose us.

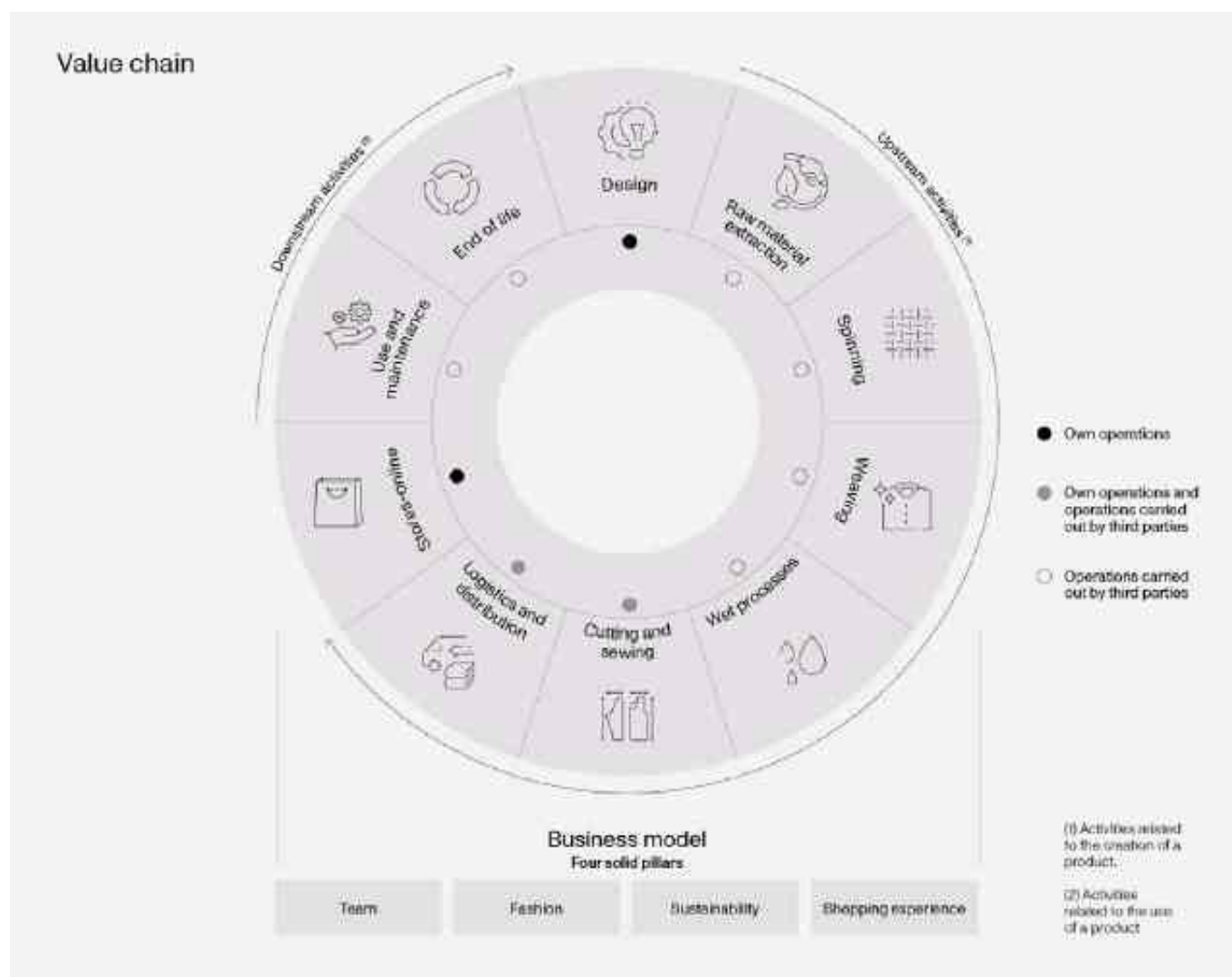
Our innovation model is **cross-cutting, flexible, collaborative and open**, not only to all the Company's areas and people, but to any organisation, entity or person with a different idea or disruptive proposal that helps build a better and more sustainable present and future.

Inditex's capacity for innovation and transformation is evidenced by the numerous projects that the Group has underway at every area and level of the Company and every stage of our value chain (design, manufacturing, transport, logistics, distribution, sales, product use and end-of-life), and will be detailed over the course of this Report. Some examples include the use of textile fibres from textile waste such as LOOPAMID® and cycora®, thanks to strategic collaborations with BASF and Ambercycle, respectively, the expansion of Zara Pre-Owned to reach 16 European markets in 2023, a platform that helps our customers to extend the useful life of our products; or the installation and testing of the physical equipment to implement new security technology and remove hard alarm tags in Zara stores globally.

Managing risk is inherent to our business model and directly responds to the precautionary principle throughout our value chain, a responsibility of each and every member of Inditex. We have systematic processes in place for identifying, assessing, recording and monitoring risks. All the main threats to our business model and its value chain (financial, geopolitical, environmental, social, technological and governance) are taken into account to ensure the proper continuity of the Group's operations. The Integrated Risk Management and Control System emanates from the Board of Directors and is articulated in the form of several regulations aimed at managing the various scenarios.

① More information in section [5.1.3. Responsible risk management](#) of this Report.

⁷ In line with the definition established by sector's benchmark organizations such as Textile Exchange. This defines a "preferred material" as a fiber or raw material that offers beneficial results and impacts for the climate, nature and people through a holistic approach transforming fiber and raw material production systems.



Action principles

- | | | |
|---|---|--|
| / Code of Conduct | / Tax Policy | / Due Diligence Policy |
| / Code of Conduct for Manufacturers and Suppliers | / Sustainability Policy | / Compliance Policy regarding Personal Data Protection and Privacy |
| / Policy on Human Rights | / Compliance Policy | / Global Anti-Harassment Policy |
| / Diversity and Inclusion Policy | / Criminal Risk Prevention Policy | |
| / Community Investment Policy | / Occupational Health and Safety Policy | |
| / Procurement Policy | / Integrity Policies | |
| | / Information Security Policy | |

① More information about Inditex's principles of action in the section 'Ethical Commitment' at our corporate website.

5.2.1.1. Our value chain

Our business model comprises the following phases: design; sourcing and manufacturing; logistics and distribution; and, lastly, sales in our physical stores and online platforms.

Design

Our more than 700 designers are at the core of our business model. Their creative talent and innate ability to interpret trends, together with the analysis of sales and the daily feedback from our stores and sales teams, enable us to intuit, and even anticipate, what our customers want.

The development of that talent is underpinned by our conviction that responsible fashion starts at the design stage. Our designers are mindful of their role and pay special attention to the materials and processes selected for our articles, thereby moving forward in the circular economy model that our Company promotes. In this regard, our commitment to innovation is pivotal, since it enables us to find alternative solutions to conventional raw materials.

Procurement and manufacturing

At Inditex we really appreciate the role our non-exclusive suppliers and manufacturers play in creating high quality products and in our value proposition. Socially and environmentally responsible management is the cornerstone of our approach to procurement and manufacturing in our supply chain. It is organised through ten clusters through which we ensure decent conditions for our suppliers' and manufacturers' workers and we further minimise the environmental impact.

Most of our end-product manufacturers are located in areas close to our headquarters in Spain, prioritising thus flexibility. This proximity, together with short production runs, gives us flexibility and control over the process, so we can adapt our commercial offering to changing trends as they arise.

Logistics and distribution

Our logistical flexibility to adapt to commercial decisions has been a key factor in our expansion across more than 210 markets.

The Group's various brands distribute their stock to stores and online warehouses around the world from our centralised logistics centres with the help of external logistic operators. By adopting and developing technologies such as Radio Frequency Identification (RFID) or the Integrated Stock Management System (SINT), we have merged the inventory management of all our brands. Thus, our staff can quickly locate any article, regardless of where it is located, and make it available to customers.

Stores and online

All our physical stores and online platforms are merged into a single sales environment. We take extreme care of all points of contact between our brands and customers: cutting-edge designs, sophisticated spaces and innovative technology to offer the best possible customer experience. We are always looking for ways to improve our stores—located in the world's most exclusive shopping

hubs and equipped with cutting-edge technology—while launching innovative proposals with high-level fashion editorials for our e-commerce; always ensuring that they befit the originality and inspiration our customers have come to expect.

Use and end of life

At Inditex we are moving towards a circular economy model, in which materials can be reused, recycled or repaired. In this way we seek to reduce our dependence on natural resources and extend the life cycle of our products. We consider that textile waste can be a resource to manufacture new fabrics through technological innovations. Thanks to the Sustainability Innovation Hub, a platform that we created in 2020 to identify and test new technologies, materials and processes with the intention of scaling them to the textile industry, in 2023 we have launched collections on the market with various start-ups such as CIRC and Ambercycle with Zara or Circular Systems with Zara Home.

Additionally, to help extend the useful life of our products, we have Zara Pre-Owned, a platform that offers repair services, resale between customers and donation of used Zara clothing.

5.2.2. Sustainability strategy

GRI 2-23; 2-24; 2-28; 201-2

At Inditex we know that fashion is much more than clothing. Fashion is the mirror that reflects people's identity and it is also an instrument for change.

As a society we face urgent challenges, such as climate change or pressure on resources. These are challenges that the fashion industry can help mitigate. Consequently, our Company's commitment to sustainability has strengthened in the last few years, and is now a cornerstone of our day-to-day business.

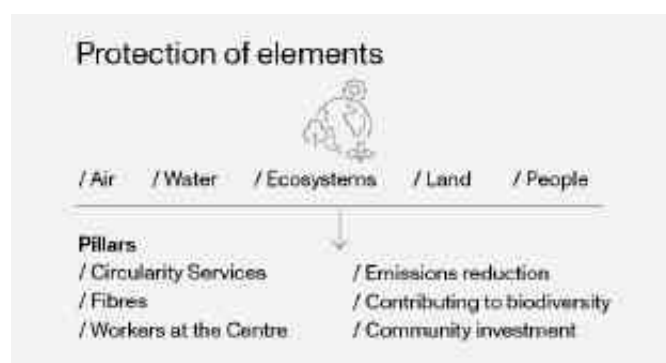
This commitment is founded on our sustainability strategy with which, as well as contributing to the transformation of our business, the sector and the textile industry, we aim to address the demands of civil society, our customers and our employees, while meeting the requirements of our investors and the increasingly strict regulatory framework on sustainability.

The impact: the focus of our strategy

The impact is what guides us on the path to sustainability. We are mindful that our activity has an impact on the environment and people. Accordingly, continuing in the vein of recent years, our aim is to keep offering fashion products that have a lower environmental footprint, to progress towards a circular business model in which waste is turned into resources, and to achieve net-zero emissions.

Hence, we seek to support the fight against climate change, advance in environmental safeguards and contribute to people's well-being.

What we want to help protect through our strategy



As a first step to achieve the goal of improving our impact, we continuously analyse the repercussions of our activity throughout the value chain. This encompasses the materials used to make our products, our suppliers and the product manufacturing processes. We also analyse our activities using key indicators such as the related greenhouse gas emissions, the resources we consume or the waste we generate, as well as their impact on communities and ecosystems. As part of this process, we work with environmental specialists, social organisations, trade unions and NGOs.

This analysis enables us to identify areas for improvement and to develop solutions accordingly. This, along with the collaboration and support for innovation in sustainability, helps us to keep progressing towards our goals in this matter.

We aspire to maximize the positive impacts and minimize the negative ones that our activity may have on the environment and people. We know that the path to this better impact requires long-term commitment. That is why **we have been dedicating our efforts in this regard for years.**

A journey in constant evolution

2001	We joined the United Nations Global Compact.
2007	We signed the Global Framework Agreement with IndustriALL Global Union.
2013	We joined Zero Discharge of Hazardous Chemicals (ZDHC) and published The List, by Inditex.
2016	Founding members of the Organic Cotton Accelerator (OCA).
2019	We announced our public sustainability objectives through 2025.
2021	We increased the level of ambition of our sustainability objectives for the 2040 horizon.
2022⁸	We signed an Infinna™ purchase agreement worth more than 100 million euros with Infinited Fiber Company.
	We invested in the startup CIRC to foster disruptive textile recycling technology.
	We promoted regenerative agriculture in an area measuring 300,000 hectares in India.
2023⁹	We reached a three-year collaboration agreement with the World Wildlife Fund (WWF) to restore endangered ecosystems.
	We pursued our commitment to new and demanding sustainability targets.
	We signed a purchase agreement worth more than 70 million euros for Ambercycle's cycora®, a recycled polyester made from textiles.
	We undertook to acquire the first available 2,000 tonnes of fibre produced from Circulose® pulp.

Our commitments: what we want to achieve

In July 2023 we announced our new sustainability commitments. This was an important milestone for our Company, with exacting pledges to fulfil in the next decade as we advance towards net zero emissions by 2040. These commitments are made as a result of our own ambition and are of global application to our value chain. They revolve around six strategic lines:

- / Fibres:** we are committed to using lower impact raw materials, also named as preferred materials.
- / Product manufacturing:** we foster more efficient processes that improve the impacts in the supply chain.
- / Climate change:** we strive to align our activities with the goal of capping the increase in the Earth's temperature at 1.5°C.

⁸ With respect to the agreement to acquire Infinna™ from Infinited Fiber Company, the amount of the fibre purchase will be included in the consolidated financial statements as part of the product cost on the date the purchase is made. The investment in CIRC is shown under the heading Financial Investments, in the consolidated balance sheet (see *Note 18* to the Consolidated Annual Accounts).

⁹ With respect to the agreement to acquire cycora® from Ambercycle and the Circulose® commitment, the amount of the fibre purchase will be included in the consolidated financial statements as part of the product cost on the date the purchase is made.

/ **Circularity**: we are moving towards more circular models.

/ **Biodiversity**: we contribute to the protection and restoration of ecosystems.

/ **Community investment**: we support the progress of the communities where we operate via social and environmental projects.

Roadmap 2040

2025	2030	2040
/ Obtain 100% of our linen and polyester from preferred sources.	/ Reduce our emissions by over 50%, including our own operations and value chain.	/ Achieve net-zero emissions, reducing at least 90% of our carbon footprint with respect to 2018.
/ Reduce water consumption throughout the supply chain by 25%.	/ Use only textile raw materials that have a lower impact, also known as preferred materials.	
/ Help ten million people through our corporate community investment programme.	/ Protect, restore or regenerate five million hectares in order to improve biodiversity.	
/ Reach three million people in the supply chain through the Workers at the Centre strategy (fostering progress in the areas of social dialogue, living wages, health, respect and resilience).		
/ Provide circularity services such as Zara Pre-Owned in key markets.		

Levers of change for our strategy

With the aim of improving our impact, we launched two key strategic plans: the Supply Chain Transformation Plan and the Fibres Plan.

These two plans both focus on two aspects that significantly affect our Company's sustainability and the achievement of the goals we have set ourselves as they address our supply chain operations and the raw materials we use in our products.

/ **Supply Chain Transformation Plan**: focuses on boosting our suppliers' and manufacturers' to achieve the sustainability goals.

With the Environmental Improvement Plan we promote the reduction of water and energy consumption while improving the management of chemical products in the facilities of our suppliers and manufacturers.

As per the social dimension we have the Workers at the Center strategy and the five Priority Impact Areas: Social Dialogue, Living Wages, Respect, Health and Resilience.

/ **Fibres Plan**: aims to cement that commitment and ensure that 100% of our garments are made from textile fibres from preferred or low-impact raw materials by 2030.

We estimate that, by then, about 40% of the fibres we use will be recycled, about 25% will come from organic or regenerative farming, about another 25% will be innovative fibres, which do not yet exist on an industrial scale, and the remaining 10% will be other preferred fibres in keeping with benchmarking organisations' indicators.

How we implement our strategy

Our sustainability strategy is based on several cornerstones. These include innovation, collaboration, corporate culture, sustainability governance and transparency.

We believe it takes an **innovative** approach to transform the sector and the textile industry. Hence the importance, for example, of our Sustainability Innovation Hub, through which we support innovation in sustainability, contributing expertise, capital and commitment to discover more responsible materials, approaches and processes.

① More information in section 6.4. *Transition to a circular economy: resources, products and waste* of this Report.

Likewise, we see **collaboration** as essential for fostering improvement. That is why we approach sustainability holistically, integrating all activities in the value chain and promoting partnerships with the actors involved. Examples of these collaborations are with entities such as the United Nations Global Compact, the International Labour Organization, UNI Global Union, IndustriALL Global Union, The Fashion Pact, Ellen MacArthur Foundation and Zero Discharge of Hazardous Chemicals.

① More information in section 5.3.1.1. *Partnerships* of this Report.



As part of our journey towards a more responsible business model, we integrate sustainability into all processes and decisions throughout our value chain. To achieve this, we implement actions that foster a **culture of sustainability** among our people, such as, for example, training in sustainability. Accordingly, in 2023, more than 15,000 employees received training on sustainability. Furthermore, our store teams are the standard bearers of our sustainability culture. This is evidenced by our Changemakers programme, a community that collects proposals and ideas about sustainability from our people and customers in stores.

In 2023, Inditex's sustainability team comprises 281 people, who together with 7,154 external partners work to make progress on our sustainability goals and strategies.

Lastly, our **governing bodies** take into account our firm commitment to sustainability in each of their decisions, a course of action that pervades the entire Company. In this regard, the work of the Sustainability Committee and the Social Advisory Board, an external advisory body on sustainability, deserves special mention.

An essential part of this commitment is **transparency** in sustainability, which we achieve by making information on our sustainability performance available to our stakeholders. In addition, this governance system is embodied in policies and strategies that ensure that sustainability is integrated into all our operations and decisions.

Furthermore, the achievement of ambitious sustainability goals and targets is linked to variable remuneration for various people in the Group. Specifically, up to 15% of the CEO's annual variable remuneration is based on compliance with sustainability policies. Likewise, 25% of the current long-term incentives for members of the management team and other employees is based on the achievement of sustainability metrics. And the variable remuneration of our office teams also takes into account sustainability performance indicators.

Sustainability Policy

The cornerstone of all these tools is our **Sustainability Policy**, approved by the Board of Directors on 9 December 2015, amended on 14 December 2020 and updated on 3 November 2022. This policy provides for the Company's principles in its relations with stakeholders and weaves sustainability practices into the business model. Moreover, it is a tool that strengthens our commitment to sustainable development and human rights as it helps ensure that our activities are respectful of people, the environment and the community.

① More information in section [5.1.1. Good Corporate Governance](#) of this Report.

Inditex's contribution to sustainable development

We believe that the way to reduce poverty and inequality and to fight against climate change is to achieve the 17 Sustainable Development Goals (SDGs) and their 169 associated targets. Consequently, **at Inditex we align our sustainability strategy with the SDGs**, as part of our support of the 2030 Agenda for Sustainable Development.

This process has highlighted our impacts, but also the opportunities for collaboration and for fostering sustainable development in the context in which we operate. This Report includes in-depth information on our contribution to the SDGs, presented in two ways:

/ At the start of each chapter, we state which goals are impacted by the actions outlined in that chapter.

/ In a quantitative summary that evidences our contribution through key indicators, in accordance with the guide entitled Business Reporting on the SDGs: An Analysis of Goals and Targets.

Inditex's contribution to the SDGs.

Key milestones in 2023



SDG 3 GOOD HEALTH AND WELL-BEING

At Inditex we see the promotion of health, safety and well-being at the workplace as a fundamental pillar of our activity. This is enshrined in our Occupational Health and Safety Policy, updated in 2022. Along these lines, we endeavour to implement the highest standards in terms of health, safety and well-being management systems, with more than 74% of our workers located in spaces certified to ISO 45001 standard. Furthermore, it is crucial for us to convey our commitment to the entire value chain. To do so, this year we inaugurated a new cycle of our Workers at the Centre 2023-2025 strategy, through which we develop new projects linked to health and well-being. For this purpose, we have also renewed our International Accord for Health and Safety in the Textile and Garment Industry, which has now become the longest ever Accord commitment. Also focusing on the community, thanks to our partnerships such as Red Cross, *Médicins Sans Frontières* (MSF) and *Medicus Mundi*, in 2023 we helped improve the health, safety and well-being of more than 1.6 million vulnerable people.



SDG 5 GENDER EQUALITY

At Inditex, gender equality and women empowerment are woven into our DNA. Accordingly, in 2023 we continued to foster inclusion in our workplaces, by signing the Group's new Equality Plan in Spain, publishing the Diversity and Inclusion Manifesto, and obtaining new GEEIS certifications for our subsidiaries. We have also strengthened our Global Anti-Harassment Policy, aimed at prevention and at supporting victims. Our commitment to equality also extends to our supply chain with the new cycle of our Workers at the Centre 2023-2025 strategy. To integrate the community in our contribution to the commitment, we have continued to work in our partnerships with organisations such as Every Mother Counts or *Entreculturas*.



SDG 8 DECENT WORK AND ECONOMIC GROWTH

We create stimulating, stable and safe working environments, based on equal opportunities and professional development for all, from our own people to those working in our supply chain.

With this aim in mind, this year we inaugurated Workers at the Centre 2023-2025, a new cycle of our strategy for socially sustainable supply chain. In the last year alone, the strategy has helped 1,461,255 people through projects linked to organisations such as IndustriALL Global Union, UNI Global Union and the International Labour Organization.

Furthermore, we take our initiatives to people in or at risk of social exclusion through integration projects such as for&from, Salta and the employment programme with Caritas.



SDG 12 RESPONSIBLE CONSUMPTION AND PRODUCTION

At Inditex our business model rests on the pillar of sustainability, so we implement responsible consumption and production practices.

For this purpose, in 2023 we approved our Fibres Plan, thereby renewing our commitment to using lower impact fibres and making further headway in the use of preferred raw materials, which now account for 68% of the total.

We also signed a purchase agreement worth more than 70 million euros for Ambercycle's cycora®, a recycled polyester made from textiles, the development of which is part of our innovation platform Sustainability Innovation Hub.

Furthermore, to convey our commitment to the community, this year we earmarked 27.7 millions euros for projects linked to responsible consumption and production, notably including the strengthening of the Moda Re-initiative with Caritas, through a contribution of 3.5 million euros in the 2023-2025 period.



SDG 13 CLIMATE ACTION

At Inditex we are committed to fighting against climate change.

This is why, in 2023, we unveiled our new sustainability commitments for the forthcoming decade.

We also developed our Climate Transition Plan, which encompasses our operations and value chain, seeking to strengthen our efforts to achieve a more efficient and circular fashion industry.

Along these lines, this year we signed agreements aimed at the decarbonisation of shipping alongside distinguished organisations such as Maersk and the NGO Smart Freight Centre.

As part of our commitment, since 2022, 100% of the electricity consumed at our facilities is obtained from renewable sources.



SDG 17 PARTNERSHIPS FOR THE GOALS

Partnerships are a key aspect of the path to the sustainable transformation of our industry, and a fundamental tool for achieving the Sustainable Development Goals.

Accordingly, we focus on collaborating consistently with the community, developing projects and initiatives with numerous local and international organisations, trade unions, governments and academic institutions, among others.

Among them, we highlight our partnerships with the International Labour Organization, IndustriALL Global Union, UNI Global Union, ACT (Action, Collaboration, Transformation), The Fashion Pact or Caritas.

Other notable contributions



Fully committed as we are to helping end poverty, in 2023 we took part in various initiatives to support people in situations or at risk of social exclusion, such as GO (Generating Opportunities: education and inclusion for a sustainable world) and Salta.

In this sphere, we work with various non-profit organisations such as Entreculturas, with which we have been able to benefit 1.5 million people worldwide since 2001; or UNHCR, with which we collaborate on a continuous basis in countries where emergency relief is needed.



In order to help eradicate hunger in the world, from our community investment programme we work alongside a number of entities, such as La Mie de Pain (France) or the Federación Española de Bancos de Alimentos (Spain).



At Inditex we prioritise the professional development of our employees through training and internal promotion. In this connection, in 2023 we provided 2.8 million training hours, reaching almost 2.3 million participants. This enabled us to cover 72% of our vacancies in-house in 2023.

Furthermore, we extend to the community our efforts to foster access to education through collaborations with the NGO Entreculturas (in primary and secondary education) and academic institutions such as Tsinghua University, University of Dhaka, University of A Coruña and MIT, among others (university level).



For the second consecutive year, in 2023 we achieved our target of 100% renewable electricity consumption at our facilities.

Moreover, we currently have two Virtual Power Purchase Agreements (VPPA) in place for the next 10 and 12 years, as well as we promote self-consumption initiatives such as the Outer Port Wind Facility in A Coruña, which is scheduled to enter into service in 2026.



At Inditex we carry out numerous community investment initiatives focusing on our goal of reducing inequality. As part of this, in 2023 we earmarked 21.6 million euros for this purpose, working internationally with organisations like Entreculturas, the Red Cross, Caritas or the Red Crescent.

For the fourth consecutive year, we also activated a collaboration with UNHCR through which more than 1.2 million articles were donated for refugees from Uganda, Greece and Ukraine, among other countries.



In 2023, we maintained our commitment to preserving below water life. Among other initiatives, we dedicated part of our efforts to preventing the release of microplastics. In this connection, our detergent The Laundry has been scaled up to industrial level, and we have developed innovation projects such as the presentation of our Air Fiber Washer industrial washing system together with Jeanologia.



Inditex has a robust corporate governance and compliance system aimed at showing our firm commitment to good governance and social and environmental sustainability, and conveying that corporate ethical culture to all our stakeholders.



In 2023, we continued to advance in our goal of reducing water consumption in our supply chain. For this purpose we continue to collaborate with our supply chain in the implementation of environmental improvement plans. Along these lines, we work with organisations like Water.org in multiple initiatives, including the Water & Climate Fund, aimed at developing projects to improve global water and sanitation infrastructure, through the execution of climate-friendly interventions in countries such as Brazil, Indonesia, the Philippines, Kenya, Mexico, India and Malawi. This partnership has allowed us to improve access to water and sanitation for 1 million people in 2023.



Our business model places innovation as a cornerstone for the transformation of the industry at all stages of the value chain.

Accordingly, in keeping with our commitment to sustainability, we have developed our Sustainability Innovation Hub, through which we are continually seeking the best materials, approaches and processes for manufacturing. And along the same lines, we continually collaborate with innovative startups such as CIRC and Ambercycle.



In 2023 we carried out numerous projects aimed at contributing to this SDG. Among these, we highlight the collaborations with organisations dedicated to protecting and safeguarding the world's cultural heritage.

In Spain, these include projects with the Reina Sofía National Art Museum, the Spanish Real Academy and the Teatro Real opera house.



At Inditex we work with a number of initiatives to protect life in Earth's ecosystems. Evidence of this is our work with WWF, helping to protect and restore endangered ecosystems worldwide. Also in this sphere, in 2023 we joined Conservation International in its Regenerative Fund for Nature project, that promotes regenerative farming and stockbreeding practices.

In addition, we have joined the Deforestation-Free Call to Action for Leather, a Textile Exchange and the Leather Working Group initiative focusing on ensuring brands source their bovine leather from deforestation-free supply chains.

5.3. Stakeholders

Material topic: Good governance and integrity



5.3.1. Stakeholder engagement

GRI 2-1; 2-6; 2-12; 2-16; 2-28; 2-29; 3-3

Our stakeholders are entities or groups that are related to Inditex –both throughout our value chain and in the communities in which we carry out our activity– and which have the capacity to influence our Company with their decisions and opinions.

Our approach to stakeholder engagement includes identifying and grouping stakeholders according to how they relate to our business model. Thus, our main stakeholders are:

/ Employees

/ Customers

/ Suppliers

/ Community

/ Environment (represented by various environmental organisations)

/ Shareholders

We base our relationship with stakeholders on two principles, enshrined in our Sustainability Policy:

- 1) **Transparency**, which helps us to establish a bond of trust with them.
- 2) **Continuous dialogue**, which allows us to meet our stakeholders' demands and needs and join forces to achieve common goals, such as protecting the planet and its resources or advocating for human and labour rights.

To realise these principles, we use strategies, goals and channels of communication and dialogue that are constantly being updated.

Moreover, we have policies that define the principles of the relationship with each stakeholder group, such as our Code of Conduct, our Code of Conduct for Manufacturers and Suppliers or our Policy on Human Rights, among others.

How we relate to our stakeholders

Identification

We identify all the stakeholders that may have dealings with Inditex throughout the value chain and in the environment in which we operate.

Prioritisation

We classify and determine stakeholder priority based on our business model and value chain.

Definition of the strategy

We define a specific strategy for each group of stakeholders, including concrete objectives, commitments and dialogue tools.

The Company's main stakeholders, as well as the tools for engagement and dialogue with them, are as follows:

Inditex's main stakeholders and engagement and dialogue tools

■ Constant dialogue ■ Biannual ■ Annual ■ On demand

Inditex's main stakeholders		Specific engagement and dialogue tools	Our specific commitments
Employees Any person who works at Inditex. / Employees from our own stores, offices, logistic centres and factories. / Union representatives		■ Ethics Committee ■ Agreement with UNI Global Union ■ Internal training and promotion ■ Internal communication ■ Volunteer programmes ■ Information Security and Data Protection and Privacy departments	/ Respect for Human and Labour Rights / Fair and decent treatment / Respect for privacy and personal data protection / Commitment to information security
Customers Every person who purchases any product sold by the various brands of the Inditex Group. / Physical store customer / Online store customer / Potential customer		■ Specialised customer service teams specialising in customer service ■ Physical and online stores ■ Social media ■ Information Security and Data Protection and Privacy departments	/ Clear and transparent communication / Integration throughout the business model / Responsible design and manufacturing / Respect for privacy and personal data protection / Commitment to information security
Suppliers Companies that are part of Inditex supply chain and their respective employees. / Direct suppliers, manufacturers and supply chain workers / Trade union organizations / International organisations		■ Supplier clusters ■ Ethics Committee ■ Sales and sustainability teams ■ Framework Agreement with IndustriALL Global Union ■ Information Security and Data Protection and Privacy departments	/ Promotion and protection of core human and labour rights and international standards / Promotion of sustainable production environments / Respect for privacy and personal data protection in the provision of services
Community All those persons or entities that form part of the environment in which Inditex carries out its activity. / NGOs / Governments and public authorities / Academic institutions / Civil society / Media		■ Social Advisory Board ■ Commitments to NGOs ■ Sponsorships and Patronage Committee	/ Contribution to social and economic development / Commitment to improving global welfare
Environment Set of natural elements present in the environment in which Inditex develops its business model. / Environmental protection organisations / Governments and public authorities		■ Social Advisory Board ■ Commitments to NGOs ■ Sustainability teams	/ Respect for the environment / Conservation of biodiversity / Sustainable management of resources / Fight against climate change
Shareholders Any person or entity who owns shares in the Inditex Group. / Institutional investors / Individual investors		■ Annual General Meeting ■ Sustainability indices ■ Investor relations	/ Social interest and interest common to all shareholders / Fostering informed engagement

Common engagement and dialogue tools



Sustainability Committee



Materiality Analysis



Social Advisory Board



Strategic partnerships



Corporate Website



Annual Report

Our common commitments



Outstanding engagement and dialogue tools

At Inditex we have been cultivating dialogue with our stakeholders on sustainability for decades. For example, in 2002 we set up our **Social Advisory Board**, an advisory body composed of independent external individuals people from outside the Company which, among other tasks, is responsible for establishing and institutionalising dialogue with key partners from civil society.

Another key tool that helps us nurture communication with our stakeholders is our Sustainability Committee, set up in 2019. Among other tasks, this Committee oversees relations with stakeholders in the area of sustainability.

① More information in section [5.1.1. Good Corporate Governance](#) of this Report.

Moreover, every year at Inditex we carry out a **materiality analysis** with the aim of identifying the most important issues for our stakeholders. The findings of this analysis tells us what they need and expect from our Company and, consequently, it is a very valuable guide when it comes to defining priorities, establishing strategies and progressing in the creation of economic, social and environmental value.

① More information in section [5.3.2. Materiality analysis](#) of this Report.



Shareholder relations

Ownership structure and shareholder remuneration

We implement a policy of transparent and fluid communication with all shareholders. Our best practices keep us at the top of selective and benchmark indices from both the financial and sustainability best practices standpoints.

The overview of the ownership structure¹⁰ of Inditex is as follows:

Inditex's shareholders 31/01/2024

1,558,637,990	289,362,325	157,474,030	1,057,199,782	50,395,454	3,582,419
50.010%	9.284%	5.053%	33.921%	1.617 %	0.115%

Pontegadea Inversiones, S.L.
Partler Participaciones, S.L.U.
Rosp Corunna Participaciones Empresariales, S.L.

Institutional
Retailer
Treasury shares

Shareholder remuneration

The shareholder remuneration policy, approved by the Inditex Annual General Meeting, aims to offer an attractive, predictable and sustainable dividend over time. This policy prioritizes maintaining a high level of funds to guarantee investment in the Company's future growth and ensure value creation.

Inditex's dividend policy combines a 60% ordinary payout and the additional distribution of bonus dividends. A dividend of €1.20 gross per share against 2022 results and unrestricted reserves was paid in May and November 2023, made up of two equal payments of €0.60 per share.

In 2024, the Board of Directors will propose to the Annual General Meeting a gross dividend of €1.54 per share, being comprise of €1.04 per share ordinary dividend and €0.50 per share bonus dividend, against 2023 results and unrestricted reserves. This dividend will be distributed in two equal payments of €0.77 per share, to be paid on 2 May and 4 November 2024, respectively.

Indices

Inditex is listed in selective and benchmark indices, from the perspective of both its financial performance and best practices in ESG matters. More information in section [3.3. Recognition](#) of this Report.

Investor relations

Inditex's relations with its shareholders, are governed by the Policy on Communications and Contact with Shareholders, Institutional Investors and Proxy Advisers, approved by the Board of Directors in December 2015, as well as by the Regulations of the Board of Directors.

Inditex guarantees the market equal access to information through all its channels. The Inditex website plays a very important role in implementing this transparent communication policy and in guaranteeing access to information. A comprehensive list of the entities and analysts who compile research on Inditex is also published on the corporate website.

Individual Shareholders' Department

The Individual Shareholders' Department is responsible for communication with individual shareholders. Using this channel, individual shareholders can request any information that they consider relevant on Inditex's performance. In 2023, the Department fielded more than 800 requests.

The Department activity takes on particular significance when the Annual General Meeting, which traditionally takes place at the Arteixo (A Coruña) headquarters, is called and held.

① More information in section "Investors" on Inditex's corporate website.

Investor Relations Department

/ 35 financial and stock market entities publish research on Inditex's market position.

Material information concerning the business performance is provided on Inditex's corporate website and it is also distributed to a database of investors and analysts containing more than 1,100 entries. To complement this information, the Investor Relations staff hold quarterly, open-access conference calls and presentations to analysts and investors throughout the year in the world's leading financial capitals.

¹⁰ Shares in the Company are represented through book entries. The record of these book entries is kept by *Sociedad de Gestión de los Sistemas de Registro, Compensación y Liquidación de Valores* (Iberclear). Inditex has contracted with Iberclear the service for daily communication of ownership (Shareholder Registry Book - LRA).

5.3.1.1. Partnerships

Partnerships with organisations and institutions are paramount for Inditex, as they enable us to join forces with key players to move inexorably towards a positive transformation of our sector, industry, society and planet.

Indeed, these partnerships help us contribute to achieving the SDGs and create economic, social and environmental value both in our value chain and in the communities where we operate.

That is why we cultivate partnerships with a number of governments, trade unions, academic institutions, local and international organisations and representatives of civil society.

In 2023 we maintained essential partnerships and established new collaborations, such as our agreements with International Apparel Federation, Conservation International, Reimagining Industry to Support Equality (RISE) and One Planet Business for Biodiversity (OP2B).

① More information in the document *Partnerships* on Inditex's corporate website.



Positive impact on the people in our value chain and on the community



Protecting the environment and fighting against climate change



Transversal partnerships with social, environmental and governance impact



5.3.2. Materiality analysis

GRI 2-4; 2-12; 2-29; 3-1; 3-2; 3-3

In 2023 we performed our materiality analysis for the thirteenth consecutive year. This exercise enables us to identify the material content to be included in this Report.

The materiality analysis also provides a listening channel which enable us to identify the most relevant issues for our stakeholders both internal, such as our employees, and external, such as international organisations, trade unions, NGOs, universities or local communities, among others.

This analysis has a double materiality focus, analysing the Company's potential impacts on the environment (impact materiality) and how these same issues impact the Organisation itself (financial materiality).

To conduct this assessment, we followed the guidance provided by the European Financial Reporting Advisory Group (EFRAG), published in the European Sustainability Reporting Standards (ESRS), to support implementation of the European Union's Corporate Sustainability Reporting Directive (CSRD). We also follow the recommendations outlined by the Global Reporting Initiative in its GRI 3: Material Topics 2021 standard.

This analysis begins with a contextual review of the Company that allows us to identify potentially material impacts, risks and opportunities, that will inform our sustainability strategy. In this regard, our constant communication with stakeholders along the value chain, the human rights due diligence processes we conduct and the knowledge of our own teams play an important role. To determine whether these impacts, risks and opportunities are material, we assess the following parameters:

- / **Scale:** how severe or beneficial the impact, risk or opportunity is or would be for people or the environment.
- / **Scope:** how widespread the impact, risk or opportunity is, based on the geographic extent of the damage and the stakeholders affected.
- / **Irremediable character:** when the impact or risk is negative, how hard it is to counteract or remedy the harm.
- / **Likelihood:** chance of a potential impact, risk or opportunity happening.

In addition to this exercise, we conducted an assessment of the financial materiality of each impact in order to maintain a **double perspective of materiality** in our analysis, in line with ESRS requirements. To determine financial materiality, we held workshops with expert areas (internal stakeholders) in which we consulted on the financial effect of impacts on the Company in the short, medium and long term, in line with the Company' risk map exercise. In addition, we gauged the probability of these financial impacts occurring in each of the mentioned time frames.

Following EFRAG's recommendations on the establishment of materiality thresholds, we have processed our findings to assess whether the identified impacts, risks and opportunities are material for Inditex. Based on this assessment and after their grouping, we obtained a list of material topics according to the importance of their impact on the environment (impact materiality) and their relevance for the development of the Company's business model (financial materiality).

This year, 14 material topics are featured, four less than the previous year due to having streamlined the grouping of identified impacts, risks and opportunities. Topics such as Water Management, Information security and privacy, and Diversity, equality and inclusion appear as separate entities. Equally, this year the topics Stakeholder engagement, Innovation, Risk management and control systems and Human Rights are not included given that, being transversal, they are already reflected in the other topics.

We have also identified those impacts, risks and opportunities that could have an impact on human rights. For this purpose, we used as a reference the human rights due diligence exercise carried out in collaboration with Shift. Our findings are shown in the materiality table, where we include those topics that entail human rights impacts.



Process to develop Inditex's double materiality



Identifying Inditex's impacts, risks and opportunities

potential and real, positive and negative that Inditex has on the environment and on people, including the impacts on human rights, by compiling a broad list that we use as a reference:

- / Issues addressed by stakeholders over the course of the year
- / Current and future applicable legislation
- / Topics highlighted in the benchmark reporting standards
- / Material topics at other companies in the sector
- / Issues addressed in our Ethics Line
- / Trends in the industry
- / Criteria considered by financial analysts
- / Analysis of Social and Digital Media

Based on the broad list of impacts, a review is performed to pinpoint any duplicates, overlaps and absences of links to the Company's activity.

Impact materiality

obtained by calculating variables:

Scale

Evaluated by reviewing 182 surveys to:

- / internal stakeholders
- / external stakeholders*

Scope, irremediable character and probability

Evaluated through interviews with members of Inditex management and heads of relevant areas.

Financial materiality

Impact on the Company's financial position

Evaluated by means of workshops with the heads of relevant areas and in line with the Company's risk map exercise.

Grouping into 14 material topics

of the 58 identified impacts, risks and opportunities.

Verification of the results both internally, by the Company's management and the Sustainability Committee, and externally, by the Social Advisory Board.

*In 2023, representatives from more than 90 organisations of different kinds took part. The participants include, among others: Inditex's Social Advisory Board, Accelerating Circularity, AFIRM Group, Comisiones Obreras, the Company's European Works Council (EWC), Conservation International, Fashion for Good, Foro Social de la Industria de la Moda de España, Fundación Entreculturas, Fundación Seres, Greenpeace, OCA (Organic Cotton Accelerator), Médecins Sans Frontières, Open to All, Plena Inclusión, Red Española del Pacto Mundial de las Naciones Unidas (United Nations Global Compact Local Network), UNICEF (the United Nations Children's Fund), University of Santiago de Compostela and WWF.

Material Topics 2023

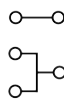
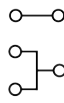
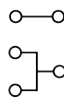
	Impact materiality	Financial materiality
 Climate change	●	●
 Pollution	●	●
 Water management	●	●
 Biodiversity and ecosystems	●	●
 Circular economy and efficient use of resources	●	●
 Fair working conditions	●	●
 Health, safety and well-being	●	●
 Diversity, equality and inclusion	●	●
Talent management	●	●
 Information security and privacy	●	●
 Value creation in the community	●	●
Transparency and quality of the information	●	●
 Good governance and integrity	●	●
 Responsible management of the supply chain and traceability	●	●



Material topics affecting human rights.

5.3.2.1. Balance of material topics

Material topic	GRI Standards	Contents	Chapter	Coverage ¹	Involvement ²
Climate change	GRI 3: Material topics 2021 GRI 302: Energy 2016 GRI 305: Emissions 2016	3-3 302-1 to 302-5 305-1 to 305-7	6.1. Climate change		
Pollution	GRI 3: Material topics 2021 GRI 303: Water and effluents 2018 GRI 305: Emissions 2016 GRI 306: Waste 2020	3-3 303-1 to 303-5 305-1 to 305-7 306-1 to 306-5	6.1. Climate change 6.2. Water management 6.4. The transition to a circular economy: resources, products and waste		
Water management	GRI 3: Material topics 2021 GRI 303: Water and effluents 2018	3-3 303-1 to 303-5	6.2. Water management		
Biodiversity and ecosystems	GRI 3: Material topics 2021 GRI 304: Biodiversity 2016	3-3 304-1 to 304-4	6.3. Biodiversity and ecosystems		
Circular economy and efficient use of resources	GRI 3: Material topics 2021 GRI 301: Materials 2016 GRI 306: Waste 2020	3-3 301-1 to 301-3 306-1 to 306-5	6.4. The transition to a circular economy: resources, products and waste		
Fair working conditions	GRI 3: Material topics 2021 GRI 401: Employment 2016 GRI 402: Labor/management relations 2016 GRI 407: Freedom of association and collective bargaining 2016 GRI 408: Child labor 2016 GRI 409: Forced or compulsory labor 2016	3-3 401-1 to 401-3 402-1 407-1 408-1 409-1	7.1. Our people 7.2. Workers in the supply chain		
Health, safety and well-being	GRI 3: Material topics 2021 GRI 403: Occupational health and safety 2018 GRI 416: Customer health and safety 2016	3-3 403-1 to 403-10 416-1 to 416-2	7.1. Our people 7.2. Workers in the supply chain 7.4. Our customers		
Diversity, equality and inclusion	GRI 3: Material topics 2021 GRI 405: Diversity and equal opportunity 2016 GRI 406: Non-discrimination 2016	3-3 405-1 to 405-2 406-1	7.1. Our people 7.2. Workers in the supply chain		
Talent management	GRI 3: Material topics 2021 GRI 401: Employment 2016 GRI 404: Training and education 2016	3-3 401-1 to 401-3 404-1 to 404-3	7.1. Our people		
Information security and privacy	GRI 3: Material topics 2021 GRI 418: Customer privacy 2016	3-3 418-1	8.2. Information security and privacy		

Material topic	GRI Standards	Contents	Chapter	Coverage ¹	Involvement ²
Value creation in the community	GRI 3: Material topics 2021 GRI 201: Economic performance 2016 GRI 203: Indirect economic impacts 2016 GRI 207: Tax 2019 GRI 413: Local communities 2016	3-3 201-1 to 201-4 203-1 to 203-2 207-1 to 207-4 413-1 to 413-2	7.1. Our people 7.3. Communities 8.3. Supplier relations 8.4. Tax responsibility and transparency		
Transparency and quality of the information	GRI 3: Material topics 2021 GRI 417: Marketing and labelling 2016	3-3 417-1 to 417-3	7.4. Our customers		
Good governance and integrity	GRI 3: Material topics 2021 GRI 205: Anti-corruption 2016 GRI 206: Anti-competitive behaviour 2016 GRI 415: Public policy 2016	3-3 205-1 to 205-3 206-1 415-1	5.1. Corporate governance 5.3. Stakeholders		
Responsible management of the supply chain and traceability	GRI 3: Material topics 2021 GRI 308: Supplier environmental assessment 2016 GRI 414: Supplier social assessment 2016	3-3 308-1 to 308-2 414-1 to 414-2	7.2. Workers in the supply chain 8.3. Supplier relations		

1. Indicates where the impact is effected, inside or outside of the organisation, or both.

2. Indicates the organisation's involvement with respect to the impact.

Direct: The organisation is directly linked to the impact.

Indirect: The organisation is linked to the impact through its business relations.

	Inside the organisation		Outside the organisation		Inside and outside the organisation		Direct		Indirect
---	-------------------------	---	--------------------------	---	-------------------------------------	--	--------	---	----------

6

Environment

6.1. Climate change

6.2. Water management

6.3. Biodiversity and ecosystems

6.4. The transition to a circular economy: resources, products and waste



6.1 Climate change

Material topic: Climate change; Pollution



6.1.1. Climate ambition and goals

GRI 2-23; 2-24; 3-3

At Inditex our commitments are fully aligned with the goals of the Paris Agreement, which aims to cap the increase in global temperature at 1.5°C. To achieve this we focus on reducing greenhouse gas (GHG) emissions in accordance with the guidelines of the Intergovernmental Panel on Climate Change (IPCC) and the UN Fashion Industry Charter for Climate Action.

Additionally, in 2023 we devised our new Climate Transition Plan, which charts our lines of action and the resources we estimate will be needed to attain our goals. The Plan is available at our corporate website.

① More information in section [6.1.2. Our Climate Transition Plan](#) of this Report.

Also in 2023, we introduced our new sustainability commitments, including the new science-based climate targets (SBTs) that we hope to achieve over the next decade.



Our climate commitments

2025:

- / Provide circularity services such as Zara Pre-Owned in key markets. This will help reduce pressure on resources and cut emissions linked to manufacturing.
- / Obtain 100% of our linen and polyester from lower impact sources, also called preferred sources⁽¹⁾. This will allow us to minimise emissions in the cultivation and production of these raw materials.
- / Reduce our water consumption throughout the supply chain by 25%. And, accordingly, the emissions associated with managing, handling and heating water during manufacturing processes.

2030:

- / Reduce our emissions by more than 50%, including our own operations and value chain. To achieve this we will pare our absolute scope 1 and 2 emissions (i.e. our own emissions) by 90% and our scope 3 emissions (value chain) by at least 50%, with respect to 2018⁽²⁾.
- / Use only textile raw materials that have a lower impact, also known as preferred materials. With the aim of reducing, among other things, the climate impact of cultivating and producing raw materials.
- / Protect, restore or regenerate 5 million hectares in order to improve biodiversity. This will also allow us to strengthen the resilience of ecosystems and boost natural carbon capture.

2040:

- / Achieve net-zero emissions, reducing at least 90% of our carbon footprint with respect to 2018. The remaining 10% are emissions that are especially challenging to reduce and that will be neutralised by actions to absorb these greenhouse gases.



(1) In accordance with the definition of industry benchmark organisations, such as Textile Exchange. This defines a preferred material as "a raw fiber or material that delivers ongoing beneficial outcomes and impacts for climate, nature, and people through a holistic approach to transforming raw fiber and material production systems". We also include in this definition fibers that meet other requirements of excellence outlined by other relevant organizations such as Canopy and Changing Markets.

(2) The value chain includes the following categories of our scope 3 emissions: purchased goods and services (category 1), fuel- and energy-related activities (category 3), upstream transportation and distribution (category 4), waste generated in operations (category 5), business travel (category 6), employee commuting (category 7), end-of-life treatment of sold products (category 12) and franchises (category 14). The base year was chosen in accordance with SBTi's criteria for the completeness, verification, representativeness and ambition of the emissions inventory.

In 2023 we also submitted to the Science Based Targets initiative (SBTi¹¹) the update of our climate commitments to 2030, including our roadmap to achieve net zero emissions in 2040. It is important to note that, since we presented our 2030 decarbonisation targets to SBTi in 2019 for first time, scientific knowledge on climate change has evolved. Accordingly, so has our commitment, which we have adapted to match the latest guidelines.



This continuously evolving work is also evidenced by our attention to the recommendations of the Task Force on Climate-Related Financial Disclosures (TCFD), which enables us to analyse future climate scenarios and their associated risks and opportunities. This allows us to pursue a decarbonisation strategy that is consistent with science as well as being resilient and competitive in the short, medium and long term.

① More information in section [6.1.5. Risks and opportunities arising from climate change](#) of this Report.

Our climate commitment is aimed at supporting the transformation of the sector and the textile industry through collaboration and innovation. On the one hand, by cultivating reflection with our stakeholders on the need to replace fossil fuels, promote renewable energies and improve the impact of our use of raw materials and resources. And, on the other hand, by investing in innovative projects that enact this change.

6.1.2. Our Climate Transition Plan

GRI 2-24; 3-3

In 2023 we devised our new Climate Transition Plan, which evidences our commitment to a more efficient and circular fashion industry capable of tackling the climate challenge. It is available at the Group's corporate website.

The lines of action charted in our Climate Transition Plan encompass our operations and value chain, and focus on the following aspects:

Reduction

The main focus of our actions is on abating greenhouse gas (GHG) emissions related to our products throughout our value chain. In this regard, the actions we have identified to achieve the necessary reductions revolve around:

- / Use of improved energy sources
- / Optimisation of energy management
- / Promoting circularity and the use of preferred materials

Neutralisation

According to the SBTi, companies must neutralise the climate impact of any residual emissions by removing and permanently storing carbon from the atmosphere.

¹¹ The Science Based Targets Initiative (SBTi) was launched in 2015 as a collaboration between CDP, the United Nations Global Compact, the World Resources Institute (WRI) and the World Wildlife Fund (WWF) to help businesses set emissions reduction targets based on the scientific consensus and the goals of the Paris Agreement.

Our efforts in this connection will come from both inside and outside the value chain, by promoting and fast-tracking regenerative practices, and implementing other nature-based solutions.

The weight of each line of action will develop as the frameworks evolve, in accordance with their specific availability and scale, but, in any event, will be consistent with the science and will target emissions that have not been reduced.

Mitigation beyond the value chain

In addition to actions implemented in our value chain, it is crucial to develop initiatives that reach beyond our business so as to help mitigate the worst effects of climate change, especially with solutions that foster biodiversity or the well-being of communities.

We promote sustainable practices to improve soil health and reduce environmental impacts. Our partnership with WWF focuses on restoring forests and freshwater and marine ecosystems, and thus, we have an agreement¹² for more than 10 million euros. We also contribute in various regions to restoring endangered ecosystems, including those affected by forest fires. In addition to forests, we are also involved in the restoration of river basins and aquatic ecosystems in North Africa and Vietnam.

① More information in section [6.3. Biodiversity and ecosystems](#) of this Report.

Interim milestones and estimated investment

We have submitted to SBTi our updated strategy for cutting our emissions associated with our business¹³ by over 50% reduce by 2030 compared to 2018. We expect this to help us advance in the right direction so as to achieve net-zero emissions by 2040, by reducing our scope 1, 2 and 3 emissions by 90% compared to 2018, while the remaining 10% will be neutralised through carbon sequestration initiatives.

As an interim milestone to track our progress, we are targeting a scope 3 20% reduction by 2027 compared to 2018. To this end, we have developed an ambitious Roadmap, which we estimate will require financial resources of around 2 billion euros¹⁴ until 2030, in terms of cost of sales, operating expenses and, to a lesser extent, investments.

This impact is considered not to be significant in the evolution of the corresponding results and financial position of the Group, especially considering that it may be mitigated by obtaining greater efficiencies both in the supply chain and in the Group's own operations.

¹² This amount will be incorporated into the consolidated income statement under the Operating Expenses heading as each of the actions/projects to be carried out are executed.

¹³ It includes scopes 1, 2 and the following scope 3 emissions according to the GHG Protocol: purchase of goods and services (category 1), fuel and energy related activities (category 3), upstream transportation and distribution (category 4), waste generated in operations (category 5), business trips (category 6), displacement of workers (category 7), end-of-life treatment of products sold (category 12) and franchises (category 14).

¹⁴ This amount will be incorporated as cost of sales, operating expenses or investment as the actions and projects of the Plan are executed.

6.1.3. Emissions of GHG of scopes 1, 2 and 3

GRI 2-4; 2-27; 3-3; 302-1; 302-2; 302-5; 305-1; 305-2; 305-3; 305-4; 305-5; 308-2; AF21

We continually work in search of solutions that allow us to reduce the GHG emissions throughout our entire value chain. These efforts focus mainly on our Supply Chain Transformation Plan, our Fiber Plan, the implementation of circularity and efficiency programs, and the protection and conservation of ecosystems.

/ The transition to renewable energy sources: since 2022, 100% of the electricity consumed in our own facilities (headquarters, international offices, logistics centres, factories and stores) has come from renewable sources.

/ Fostering energy efficiency: we have reduced our relative energy consumption per square meter and per euro of sale by 19% and 40%, respectively, as compared with 2018.

/ Integrating more sustainable processes in our supply chain: we are currently working to increase the use of preferred fibres (fibres with a better impact), contribute to organic and regenerative farming and support our suppliers in processes to reduce energy and water consumption.

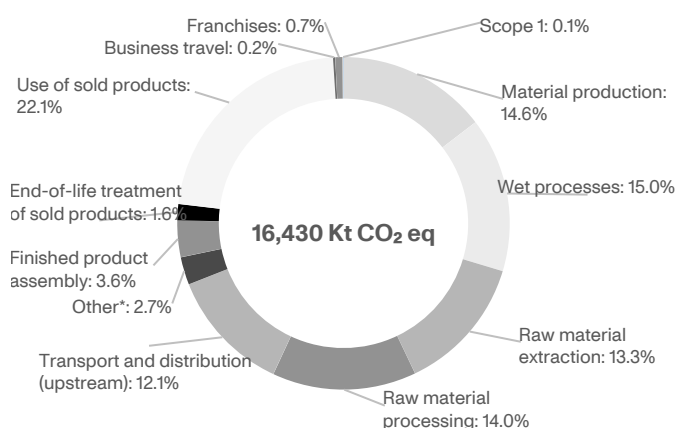
/ Preserving ecosystems: we collaborate with international organisations dedicated to fostering regenerative farming and stockbreeding practices and to protecting and restoring ecosystems.

Scope 1, 2 and 3 GHG emissions (t CO₂eq)⁽¹⁾⁽²⁾

GHG emissions	2023	2022	2018
Scope 1	11,512	11,232	19,172
Scope 2 market-based	0	0	419,448
Scope 2 location-based	427,885	451,430	651,266
Scope 3 ¹⁵	16,418,450	15,607,245	16,389,372
Kg CO ₂ eq per m ² (market-based scope 1+2)	2	2	58
g CO ₂ eq per € (market-based scope 1+2)	0	0	17
g CO ₂ eq per € (market-based scope 1+2+3)	460	481	644

(1) More information on the calculation methodology in the section *How we calculate our emissions* of this chapter.

(2) Scope 1, 2 and 3 GHG emissions do not include carbon credits.

Scope 1, 2 and 3 GHG emissions

* The "Others" category comprises the GHG emissions associated with capital goods, employee commuting, fuel- and energy-related activities, waste generated in our own operations and downstream leased-assets.

In 2023, our total GHG emissions have remain stable compared to 2018. Regarding the categories subject to our new public objective by 2030, the GHG emissions have increased by 4% over our 2018 base year. During the year, the Company has managed to reduce its scope 1 and 2 emissions by 97% compared to 2018. Likewise, the firm commitment to the use of preferred raw materials, which in the last campaign of 2023 already accounted for 68% of the total used by the Group, has allowed us to reduce emissions associated with the extraction of raw materials by 6% (scope 3). The gradual implementation of our Supply Chain Transformation Plan, as set out in our Climate Transition Plan, will allow us to make progress in reducing emissions associated with the rest of the scope 3 categories.

Scope 3 also includes emissions linked to the transportation of the products we market. In 2023, the emissions associated with upstream transport (inbound and outbound) were equivalent to an energy consumption of 3,444,255 MWh and 4,526,850 MWh, respectively (1,791,523 MWh and 4,031,013 MWh in 2022).

Furthermore, estimated electricity consumption in franchised stores amounted to 256,174 MWh and business travel consumption was 140,033 MWh (262,397 MWh and 130,381 MWh in 2022).

Emissions calculation methodology

We calculate and report the Inditex GHG emissions in accordance with the guidelines of the Intergovernmental Panel on Climate Change (IPCC - Guidelines for National Greenhouse Gas Inventories, 2006) and the World Resources Institute (GHG Protocol, 2015), which divide emissions into scopes 1, 2 and 3.

The reported GHG emission are calculated in accordance with our Company's financial control approach and include the gases CO₂, CH₄, N₂O, HFCs, PFCs, SF₆, and NF₃, and are expressed in units of CO₂ equivalent (CO₂eq).



¹⁵ Historical scope 3 emissions have been recalculated based on methodological improvements. In certain categories where we do not yet have primary data, regional conversion factors more specific to our sector have been used. They have been provided by Resilience, the academic partner of the Center for Risk Studies at the University of Cambridge. More information about the affected categories in the Emissions calculation methodology section of this Report

How we calculate our emissions

Scope	Description	Methodology	Emission factors
Scope 1	Direct emissions related to sources under the direct control of the Inditex Group (combustion in boilers, own vehicles, etc.).	Scope 1 emissions are calculated based on the total consumption of fuel and their corresponding emission factors. Emissions associated with fuel consumption in stores and international offices as well as the possible occasional leaks (or spot leaks) of HFC and PFC gases from air conditioning units in those facilities are not included.	DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023. MITECO (Ministerio para la Transición Ecológica y el Reto Demográfico) v.2.0. 2022
Scope 2	Indirect emissions related to the generation of electricity acquired and consumed by the Inditex Group.	Scope 2 emissions are calculated based on the consumption of electricity in each market and their corresponding emission factors.	<i>Location-based method:</i> / IEA (2023), Emission Factors. <i>Market-based method:</i> / Contractual instruments for renewable energy: (PPA, EACs, etc.).
Scope 3	Other indirect emissions related to the production chain of goods and services, their distribution and marketing outside the Company.	Detailed below for each scope 3 category	Detailed below for each scope 3 category
Scope 3 - Category 1: Purchased goods and services	All upstream (cradle-to-gate) emissions generated in Inditex's supply chain from the manufacture of products made available to customers. For greater transparency, we publicly disclose this category's into the following categories: raw material extraction, raw material processing, material production, wet processes and final product assembly.	Extraction of raw materials: emissions are calculated based on the tonnes of the various raw materials consumed and the corresponding emission factors.	Higg Materials Sustainability Index (MSI), 2021.
		Spinning and weaving: emissions are calculated based on the energy consumption and the corresponding emission factors. Energy consumption is estimated on the basis of raw materials consumption ratios.	IEA (2023), Emission Factors. DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.
		Wet process and cutting and sewing: emissions are calculated based on the cost of our products, applying the corresponding emission factor.	<i>Risilience, academic partner of the Centre for Risk Studies of the Cambridge University</i>
Scope 3 - Category 2: Capital goods	Emissions generated as a result of the extraction, production and transportation of capital goods purchased and/or acquired by the Company.	Emissions are calculated from the investment in fixed assets, applying the corresponding emission factor.	<i>Risilience, academic partner of the Centre for Risk Studies of the Cambridge University</i>
Scope 3 - Category 3: Fuel-and energy-related activities	Emissions generated in the process of extraction, refining, production and transportation of energy and fuels purchased and acquired by the Company.	Emissions are calculated based on the global energy consumption and the corresponding emission factors.	IEA (2023), Emission Factors. DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.
Scope 3 - Category 4: Upstream transportation and distribution	Emissions linked to the upstream transportation and distribution services acquired by the Company.	Their calculation takes into account the tonnes transported and kilometres travelled by each means of transport, along with the relevant emission factors.	GLEC, Global Logistic Emissions Council Framework for Logistics Emissions Accounting and Reporting, v.2.0.

Scope	Description	Methodology	Emission factors
Scope 3 - Category 5: Waste generated in operations	Emissions from the final disposal and treatment of waste generated in Inditex's headquarters, own logistics centres and own factories. Information on waste generated in construction works and own stores is not available at the required level of itemisation.	Their calculation takes into account the tonnes of each type of waste generated and the final treatment of each, along with the corresponding emission factors.	DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.
Scope 3 - Category 6: Business travel	Emissions from the transportation of employees for business-related activities in vehicles owned or operated by third parties.	Their calculation takes into account the origin, destination, means of transport used by Spanish agents and the corresponding emission factors. It is extrapolated to the rest of the subsidiaries on the basis of travel expenditure in Spain.	DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.
Scope 3 - Category 7: Employee commuting	Emissions generated as employees commute between home and work.	Their calculation involves estimating average distances covered by means of transport and commuting patterns based on bibliographic research.	DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.
Scope 3 - Category 8: Upstream leased assets	Emissions associated with third-party assets leased by Inditex.	Emissions associated with the assets of third parties leased by Inditex are immaterial.	
Scope 3 - Category 9: Downstream transportation and distribution	Emissions from the downstream transportation and distribution of sold products.	Not reported. Inditex is working on improving the internal corporate systems to provide this information with the degree of detail required.	
Scope 3 - Category 10: Processing of sold products	Emissions from the subsequent transformation of sold products.	Not applicable. The products sold do not need transformation to be used by our customers.	
Scope 3 - Category 11: Use of sold products	Estimated emissions from the use of products sold by Inditex.	Their calculation takes into account the energy consumed during the use phase based on bibliographic research.	IEA (2023), Emission Factors. <i>Higg Product Module Methodology, June 2021.</i>
Scope 3 - Category 12: End-of-life treatment of sold products	Emissions from the final disposal of products sold by the Company.	Their calculation takes into account the number of units sold and the final destination based on bibliographic research (20% reuse and 80% landfill).	DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.
Scope 3 - Category 13: Downstream leased assets	Emissions from Inditex-owned assets leased to third parties.	Emissions from downstream leased assets are calculated based on energy consumption and its corresponding emission factor.	MITECO (Ministerio para la Transición Ecológica y el Reto Demográfico), v2.0 2022
Scope 3 - Category 14: Franchises	Emissions from franchisees during the operation of franchises.	The electricity consumption of franchises has been estimated from the average consumption of own stores. This consumption is multiplied by the relevant emission factor.	IEA (2023), Emission Factors.
Scope 3 - Category 15: Investments	Emissions from Inditex investment activities.	Not applicable.	

The Inditex Group's scope 1, 2 and 3 emissions have been independently verified by Ernst & Young in accordance with ISAE 3410 standard.

Conversion factors used for the calculation

/ 1 tonne of diesel = 1.035 tonnes of oil equivalent (toe).

/ Diesel density = 0.842 kg/litre, DEFRA (Department for Environment Food & Rural Affairs), v.1.1, 2023.

/ 1 toe = 41,868 GJ.

/ 1 GJ = 277,778 kWh

Monitoring energy consumption

Our Global Energy Strategy, approved in 2015, underpins our commitment to progress towards a low-carbon economy.

This Strategy aims to promote the rational and efficient use of energy throughout our value chain, reducing GHG emissions and helping to mitigate their effects.

Our global energy consumption includes energy consumed in:

/ Corporate headquarters and international offices¹⁶.

/ Own logistics centres.

/ Own factories.

/ Own stores.

In 2023 our global energy consumption amounted to 1,606,212 MWh¹⁷ (5,782,364 GJ), of which 1,551,492 MWh came from renewable sources. This implies a 19 % reduction in relative energy consumption per square metre as compared with 2018 (in 2023, 761 MJ/m²).

How much energy we consume

Year	Global energy consumption (MWh)	Relative energy consumption (kWh/m ²)	Relative energy consumption (Wh/€)
2023	1,606,212	211	45
2022	1,694,817	228	52
2018 (base year)	1,969,127	262	75

What type of energy we consume (MWh):

Year	Electricity	Natural Gas	Other fuels
2023	1,551,492	44,064	10,656
2022	1,636,795	49,269	8,753
2018 (base year)	1,865,074	103,724	329

How much electricity we consume in our own headquarters, logistics centres and factories:

Year	Total electricity consumption (MWh)	Relative electricity consumption (kWh/m ²)	Relative electricity consumption (Wh/€)
2023	184,784	49	5
2022	176,432	48	5
2018 (base year)	159,434	50	6

How much electricity we consume at our stores:

Year	Global electricity consumption in stores (MWh)	Relative electricity consumption in stores (kWh/m ²)	Relative electricity consumption in stores (Wh/€)
2023	1,366,708	359	38
2022	1,460,363	389	45
2018 (base year)	1,705,639	394	65

Environmental Management System

Energy efficiency is a priority at our facilities as it helps minimise our carbon footprint and reduces the environmental impact of our operations.

Our Environmental Management System (EMS), certified to ISO 14001 international standard, enables us to advance in the use of renewable energy and transition towards more efficient and circular management models.

This system is **implemented at 100% of our corporate headquarters and our own factories and logistics centres**. Furthermore, a team of 29 people oversees its proper implementation, as well as preventing environmental risks linked to these facilities.

In 2023 and 2022, no significant penalties or fines were imposed for breaches of environmental regulations in force. Moreover, we do not have facilities in protected areas.

¹⁶ In 2023, the scope of these indicators has been expanded to include the electricity consumption of international offices. The electrical consumption that occurred in these facilities in previous years is not available in our systems with the necessary level of detail.

¹⁷ This indicator records all the energy consumed at our Group's headquarters, international offices, own stores, own logistics centres, own factories and by our own vehicles. Fuel consumption in stores is not included. Electricity consumption in stores has been calculated on the basis of actual billing data and consumption recorded in our Energy platform. For those stores or periods for which we do not have information available, it has been estimated considering average consumption.

6.1.4. Lower-impact consumption and efficiency and optimisation initiatives

GRI 2-4; 3-3; 302-1; 302-2; 302-5; 305-6; AF21

6.1.4.1. Lower-impact consumption

At our Company we are committed to generating and procuring energy from renewable sources to help us reduce our greenhouse gas (GHG) emissions.

We thus invest in generating renewable energy at our own operating centres. Specifically, we have facilities for the generation of photovoltaic and wind energy, as well as geothermal and solar thermal energy.

Since 2022 we have fulfilled our goal of obtaining 100% of the electricity at our own facilities from renewable sources. In fact, in 2023 we consumed 1,551,492 MWh of electricity from renewable sources at our facilities, excluding the energy we generated.

How much electricity from renewable sources we consume⁽¹⁾:

Year	% of electricity coming from renewable sources
2023	100%
2022	100%
2018 (base year)	45%

(1) In the case of renewable energy certificates, the period for the data is the calendar year, instead of the financial year (period of this Report).

Self-consumption

Self-consumption means renewable energy produced on our premises or in nearby locations to meet our energy needs. We use photovoltaic and wind power systems to operate with clean energy and cut our emissions.

In 2023 we had various active photovoltaic generation plants and a wind turbine generator that produced 7,049 MWh of electricity (7,756 MWh in 2022) with the following installed capacities: 3 MW in Lelystad, 1 MW in the employee car park at our Arteixo Central Services facilities, 850 kW of wind power at Arteixo Central Services and 100 kW in the Arteixo Technology Building, 200 kW in the headquarters of Zara.com and Zara Man, 30 kW in the Tempe 1 centre, 200 kW in the Tempe 3 centre, 200 kW in the Tempe 3S centre and 100 kW in the Laracha fabric warehouse and 71 kW in the canteen of Pull&Bear headquarters in Narón. In addition, 206 MWh of thermal energy was generated by geothermal sources and solar panels in our Arteixo Central Services and Tordera facilities in 2023 (362 MWh in 2022).

Another notable self-consumption initiative is the development of the **Outer Port Wind Facility in A Coruña** in collaboration with the city's Port

Authority. The project, scheduled to enter into operation in 2026 and with an estimated investment of 34 million euros¹⁸, is for the installation of three wind turbine generators with an installed capacity of 5.5-6 MW. Through this initiative, we aim to generate on-site the renewable energy necessary to cover the annual electricity required by our headquarters in Arteixo, and also to supply clean electricity to the port's own infrastructures.

In 2023 the project obtained the statement of exceptionality and it is currently in the process of requesting the environmental impact statement.

Power Purchase Agreements

In addition to implementing self-consumption initiatives, we promote the implementation of new renewable energy sources through **power purchase agreements (PPA)**, which are long-term agreements between consumers and energy producers.

These agreements enable producers to finance the construction of new renewable energy generation infrastructure, even when there are no official incentives or subsidies. They are a way to facilitate the sustainable and long-term implementation of new projects.

At year end, we have two virtual power purchase agreements (VPPA) in place for periods of 10 and 12 years, with a total installed capacity of 136 MW. The related projects are in the development phase, in some cases pending final approval, and will come on stream in 2025.

These agreements allow us to consume renewable energy regardless of the location of our operations, while contributing clean energy to the grid. We aim to continue working in this sphere to promote additionality¹⁹ by generating new renewable energy capacity.

^① More information in *Note 26 Financial instruments and risk management policy* of the Consolidated Annual Accounts.

Energy Attribute Certificates

Where we encounter restrictions in the implementation of certain mechanisms, we turn to alternatives such as green tariffs and Energy Attribute Certificates.

¹⁸ The investment planned for the year 2024 allocated for this project, is included in the estimated investment budget referred to under Information on the outlook for the Group in the Consolidated Directors' Report. Information regarding the financial year 2023 is included in the Consolidated Financial Statements (*Note 14*).

¹⁹ Additionality is a feature of power purchase mechanisms designed to encourage the construction of new renewable energy generation infrastructure that would otherwise not necessarily be developed.